

Global Rates Weekly

On the brink

In the US, 10y yields are near 5% as markets have reassessed the Fed's path higher. We remain of the view that USTs are not cheap yet. In Europe, we add a ERZ7ERZ8 flattener. In Japan, the post-BoJ presser is in focus as a gap emerges between economists' views and the market on the terminal rate.

★ SIGNATURE

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United States: Interest Rates

On the brink

10y UST yields are within striking distance of 5%, as the markets have reassessed the Fed's path higher while term premium is appropriately hovering near pre-GFC levels. We remain of the view that bonds are not cheap yet and catalysts for a rally do not appear imminent.

Still not cheap enough

With 10y Treasury yields approaching 5%, the obvious question is whether bonds have finally become cheap. We still do not think so.

To answer that question, it helps to start from first principles. A 10y Treasury yield can be decomposed into two components. The first is the market's expectation for the path of short-term interest rates over the life of the note. The second is the term premium, the additional compensation investors require for holding duration rather than rolling Treasury bills. Any argument that yields have moved too far must therefore be an argument that one or both of these components is mispriced.

The first thing to note is that most of this year's repricing has *not* come from term premium. It has come from expectations.

Of the roughly 70bp increase in 10y yields year-to-date, term premium accounts for only around 15-20bp ([Figure 1](#)). That may come as a surprise given how much of the market narrative has focused on fiscal deficits, Treasury supply and changes in investor demand. Yet beneath the surface, the economy has continued to surprise to the upside. Labor markets have tightened, core inflation forecasts have drifted higher, and market pricing has shifted from expecting two Fed cuts at the beginning of the year to contemplating three to four hikes over the cycle. Even far-forward expectations have moved higher as investors reassess the neutral rate in an economy that continues to generate solid growth despite policy rates in the 3.5-3.75% range.

In other words, investors are not demanding materially more compensation for taking duration risk. They are reassessing the level at which policy rates are likely to settle over the longer run.

That distinction matters. If most of the move was attributable to term premium, one could plausibly argue that yields had overshot and become detached from the macroeconomic backdrop. But that is not what the data suggest. Instead, the market has spent much of the year repricing higher the path of future short rates and the long-run equilibrium level of interest rates.

To argue that 10y yields are too high today is therefore to argue that the markets are pricing in too high a future path of policy rates, not simply that term premium has risen too far.

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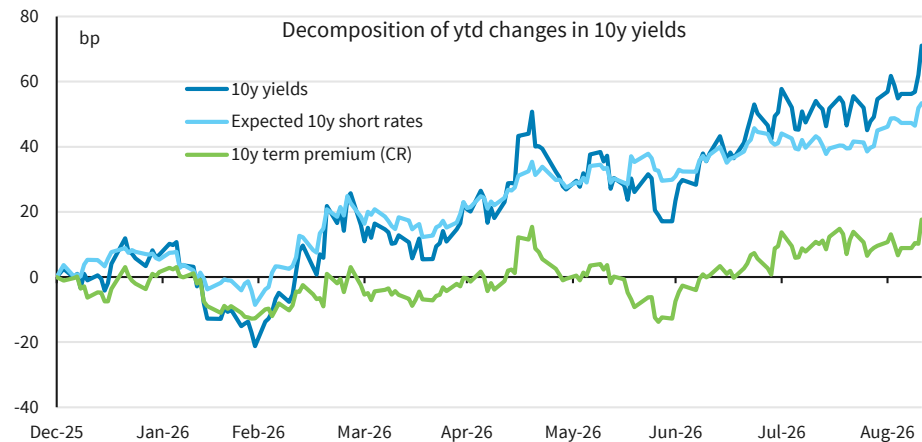
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FIGURE 1. Markets have reassessed the expectations component higher this year

Using San Francisco Fed term premium model
 Source: Federal Reserve Bank of San Francisco, Barclays Research

The next question is whether the current level of yields looks stretched relative to history.

Figure 2 decomposes the level of 10y yields into three components: expected nominal short rates, the rate term premium (10y SOFR less expected short rates), and the fiscal risk premium (10y Treasury yields less 10y SOFR) around the time of a few significant historical events.

Figures 3 and 4 show the time series.

The first observation is that neither term premium nor fiscal risk premium look particularly stretched relative to history or fundamentals.

Rate term premium looks elevated relative to the post-GFC period, but much less so relative to pre-GFC norms. That should not be particularly surprising. We have argued that the buyer base is far more price-sensitive today than it was a decade ago (see [here](#)). Central banks and other price-insensitive investors no longer dominate marginal demand, and while Treasuries remain a safe and liquid asset, they have become a less dependable hedge against equity risk. In that environment, investors should require more compensation to hold duration. Viewed through that lens, term premium looks less like a temporary distortion and more like a return to a more normal historical regime.

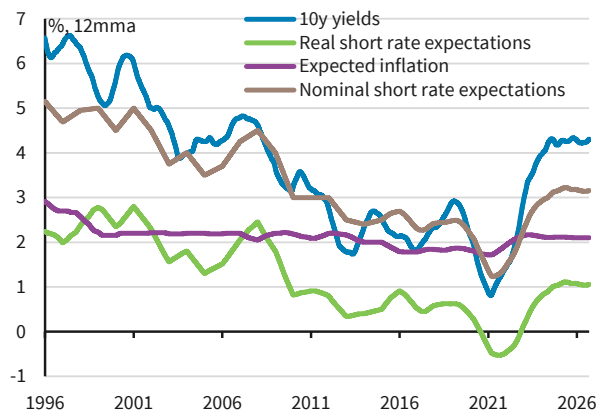
The fiscal risk premium has also drifted higher over time. Before the GFC, Treasury yields typically traded well through swap rates. Today they trade above them. That shift is directly attributable to the deterioration in the fiscal backdrop. Twenty years ago, investors expected the federal budget to move toward balance, and in the late 1990s the US was running a surplus. Today, deficits are projected to remain in the 6% of GDP range for as far as the eye can see. A higher fiscal risk premium is therefore not particularly surprising.

FIGURE 2. Back to first principles

10y Expectations component					Rate Term premium		Fiscal Risk Premium
%	10y UST	Real Short Rate	Expected Inflation	Nominal Short Rate	10y swap rate	10y Swap Rate minus Expected Rate	10y USTs minus Swap Rate
Dec-95	5.57	2.45	2.70	5.15	5.81	0.66	-0.24
Dec-00	5.11	2.80	2.20	5.00	5.95	0.95	-0.84
Jun-07	4.93	2.50	2.00	4.50	5.35	0.85	-0.42
Dec-19	1.92	0.17	1.78	1.94	1.64	-0.30	0.28
Sep-26	4.94	1.28	2.30	3.58	4.54	0.97	0.40

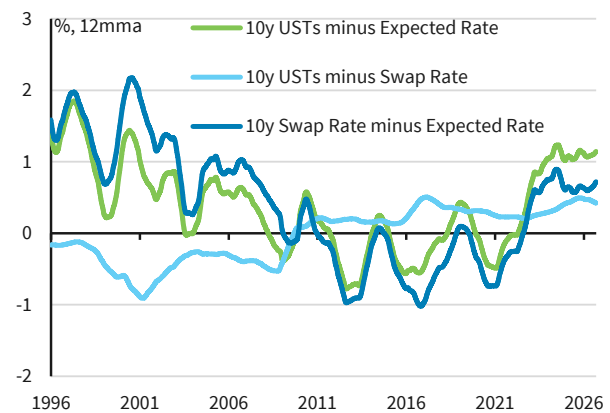
Source: Federal Reserve, Bloomberg, Barclays Research

FIGURE 3. Expected path of short rates



Source: Federal Reserve, Bloomberg, Barclays Research

FIGURE 4. Rate and fiscal risk premium



Source: Federal Reserve, Bloomberg, Barclays Research

Importantly, neither of these components has repriced dramatically this year. Most of the move has come through the expected path of policy rates rather than a wholesale reassessment of duration risk or fiscal sustainability. But if the question is whether yields look outright cheap at current levels, Figure 2 offers little support. Rate term premium has largely returned to more normal historical levels, and fiscal risk premium has appropriately adjusted higher.

Yields may be high. That does not necessarily make bonds cheap.

Has the expectations component gone too far? We don't think so.

Markets are currently pricing an average policy rate of roughly 3.6% over the next decade. That remains well below pre-GFC norms and, in our view, rightly so.

Figure 5 shows why. Market participants are considerably less optimistic about the economy than they were twenty-five years ago. Consensus expectations for real GDP growth over a 10-year horizon have fallen from roughly 3.4% to 2.1% since end 2000, reflecting both a weaker long-run productivity growth outlook and a much less supportive demographic backdrop. Labor force growth is expected to be significantly lower than in prior decades, implying a lower equilibrium growth rate and, by extension, a lower equilibrium policy rate.

Against that backdrop, a decade-average policy rate of 3.6% does not look particularly difficult to justify. Consider a simple example. Assume the Fed hikes by 50bp over the near term before

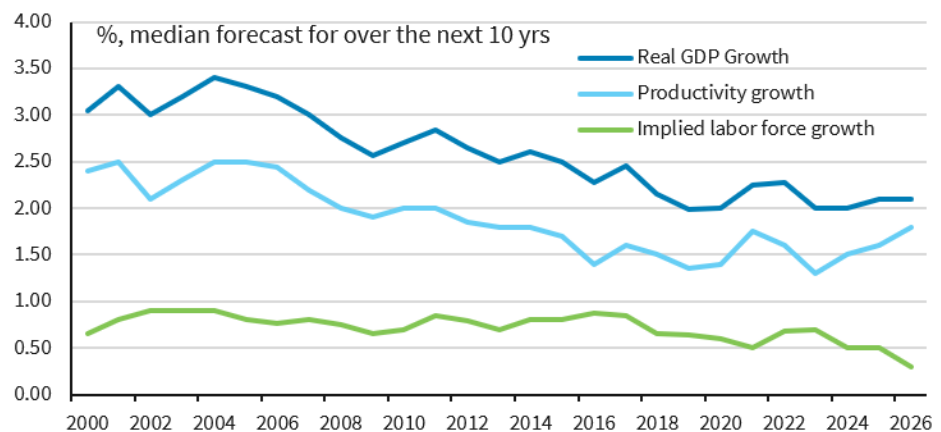
eventually converging toward a policy rate of around 3.5%. A path like that would imply an average policy rate over the next decade of roughly 3.6-3.7%, not far from what is currently discounted.

A decade is a long time. Markets are not pricing a single policy path. They are pricing an average across a wide distribution of outcomes. A recession would almost certainly pull policy rates materially below the modal path for a brief period of time. Equally, a world in which inflation proves more persistent, or growth remains more resilient than expected, could keep policy rates above the modal path for longer.

Bottom line, investors often anchor on nominal yield levels. A 5% 10y Treasury yield feels high because it is high relative to most of the post-GFC period. But the post-GFC era was also characterized by unusually low policy rates, compressed term premia and strong demand from price-insensitive investors. The relevant question is not whether yields are high relative to the last decade, but whether they are high relative to the world we now inhabit.

On that basis, we do not think a 5% 10y Treasury yield is, by itself, sufficient evidence that USTs are cheap.

FIGURE 5. Markets are less optimistic about the growth outlook than pre-GFC



Source: Haver Analytics, Barclays Research

What would make us change our mind?

If 10y USTs are not cheap today, what would make them cheap?

The most obvious path would be a material deterioration in the growth outlook. As we have argued, most of this year's repricing has come through the expectations component rather than term premium. A weaker labor market or a more meaningful slowdown in activity would likely pull down the expected path of policy rates and, by extension, yields. That does not appear imminent. Economic data are no longer surprising to the upside as consistently as they did earlier in the year, but consensus expectations do not look optimistic enough to leave much room for a large downside surprise.

A second possibility is a further rise in term premium. A meaningful increase, whether driven by domestic concerns or spillovers from global bond markets, could push yields to levels that begin to weigh on broader financial conditions. At some point, higher yields would tighten conditions enough to weaken risk assets, slow economic activity and ultimately create demand for duration. We do not believe we are there yet. Investment-grade credit spreads remain near historically tight levels, suggesting little evidence of broader market stress.

Separately, Treasury's decision to commit to future buyback operations of at least \$4bn suggests policymakers are keen to retain flexibility in responding to market conditions ¹. At \$6bn per operation, the Treasury could end up buying 43% of 20y and 30y issuance in a quarter (from 14% earlier). We do not view that, however, as a reason to be long duration. Buybacks can affect relative-value metrics, including swap spreads, by altering the amount of Treasuries the market must absorb. However, they are still unlikely to be the catalyst that drives a sustained decline in outright yields.

Market Views

Duration

- 10y yields are within striking distance of 5% as the markets have reassessed the expected path higher while term premium is appropriately hovering near pre-GFC levels. We remain of the view that bonds are not cheap yet.
- We are neutral on duration.

Curve/curvature

- We are neutral on the curve.
- We maintain our recommendation to pay the belly of the 5s10s30s SOFR fly (1:2:1), as Treasury's long-end purchases should re-allocate term premium into the 10y sector, which looks too rich in light of the level of term premium.

Inflation

- Ahead of the August CPI release, we remain neutral on outright inflation after taking profit on our prior 5y5y CPI swap recommendation.
- Focus in the next week will be on the interaction between the CPI release, September FOMC meeting, 10y TIPS supply, and geopolitical developments.
- We maintain our 5y iota widener recommendation, given an asymmetric risk profile.

Money markets

- We see building potential for pockets of funding pressure, driven by heavy T-bill supply, a higher TGA balance at times, and the seasonal reduction in GSIB balance sheets in Q4. We maintain our recommendation to be short October SOFR/FF.
- We think these dynamics will be sufficient to prompt a return of RMPs, with purchases moving back up to \$10bn in October and \$20bn in November. We expect purchases to remain at that pace for several months thereafter.

Swap spreads

- We maintain our 7y spread widener recommendation. Belly spreads offer the best combination of carry and potential for further spread widening, in our view, and stand to benefit from bank regulatory changes.
- We continue to recommend being long the 10s20s30s ASW fly. Increased long-end buybacks should support the 20y sector on the curve.

¹ <https://home.treasury.gov/system/files/221/Tentative-Buyback-ScheduleQ32026.pdf>

Volatility

- We maintain a 2y30y ratio payer spread recommendation to position for some drifting, but not a sharp sell-off at the long end.
- We maintain a 3mf 5s30s curve cap spread recommendation to position for larger curve moves driven by Fed reaction function uncertainty.
- We maintain a 6m1y receiver spread recommendation to position for the possibility that markets may price some cuts for 2027 if inflation softens.

United States: Inflation Markets

As simple as possible, but not simpler

We deepen our tracking methodology for market-implied CPI energy, and the resulting market-implied core CPI path, which appears smoother and more intuitive in our expanded approach.

Key takeaways

- With energy prices rising once again, and both WTI and Brent crude oil above \$100/bbl at the time of writing, it is worth revisiting the precise details of how we track market-implied energy inflation based on the combination of realized spot data and future price signals from the commodities futures market.
- Tracking the details of market-implied energy inflation allows for a precise backing out of a market-implied "core" fixing path, which has become essential for monitoring the macro narrative, inflation trends and central bank policy risks.
- We have previously relied on the mantra of "as simple as possible, but not simpler" when generating a market-implied "core" CPI path, but market pricing now contains more information than a crude oil-based framework focused only on motor fuel can capture. We therefore introduce a bottom-up daily tracking model of all four major CPI energy categories.
- The primary source of new information comes from incorporating forward refining margins via RBOB futures. Modeling electricity, utility gas and fuel oil separately ensures that this information is translated into a complete CPI energy tracker.
- Our methodology also allows us to decompose sources of market-implied energy inflation risk; for instance, refined spreads are projected to remain wider than in recent years, implying sustained upside pressure on retail gasoline prices beyond the historical relationship with crude oil.
- The result is a more realistic market-implied CPI energy path and a smoother ex-energy fixing strip, including a substantially firmer October 2026 fixing than implied by our previous methodology.

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Rethinking the details

One of the most asked about sections of our [Inflation-Linked Daily](#) is our detailed CPI fixings analysis. In this section, we look at the CPI swap fixings, which are in NSA terms, translate what those imply for market-implied SA fixings, and then calculate a proxy for market-implied "core" fixings. Calling that final step "core" is slightly misleading, as it really is ex-CPI energy commodities, and even then, practically derived from a pure focus on motor fuel. Up until now, we have been comfortable with stopping there, and calling the result a "core" proxy, given the complexity in deriving a high-conviction market-implied electricity and food path.

However, the world has changed, and our sense is that sophistication of the market has grown in recent years. In essence, our previous parsimonious approach to tracking market-implied "core" fixings is too simplistic at this point.

In this publication, we rethink our methodology for tracking market-implied "core" fixings (or, at least ex-energy) and demonstrate what that implies for the upcoming market-implied CPI inflation path. Rather than focusing only on ex-energy commodities, we provide a framework to track market-implied energy more generally across the four major CPI energy categories, specifically: fuel oil & other fuels, motor fuel, electricity, and utility (piped) gas service.

We find that our deepened framework presents a more realistic market-implied CPI energy path and a smoother ex-energy fixing strip, resulting in a cleaner macro signal for inflation market participants and rates markets more broadly.

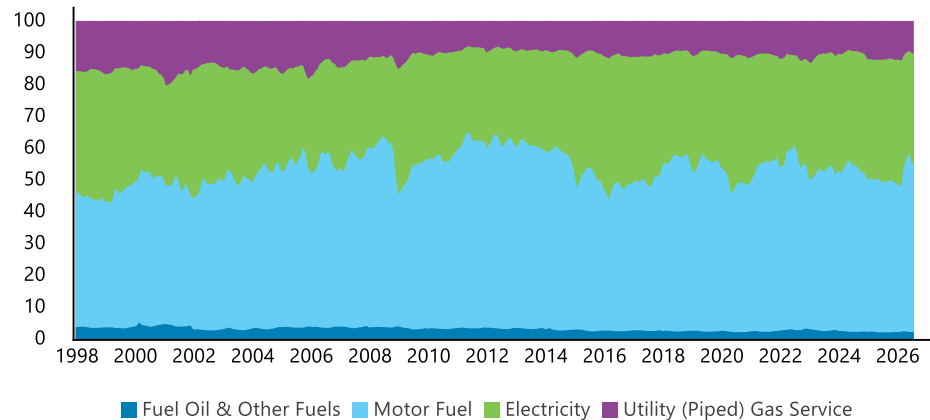
Given the interest in the topic, and the quantity/sophistication of questions that we have received in recent months/years, we lay out our rationale on the structure, thinking and methodology in detail as a resource for clients. Of course, we are perpetually aiming to improve and refine our analysis over time.

What's important (relatively)?

As a first point, it is worth emphasizing that the four major CPI categories are not created equal, which can be easily seen by looking at the relative importance (RI, or weights) of the major subcomponents ([Figure 1](#)). Specifically, at the time of writing:

- CPI energy has a 7.4% RI within the headline basket.
 - 4.1% is energy commodities, split 0.16% fuel oil & other fuels and 3.97% motor fuel.
 - 3.3% is energy services, split 2.55% electricity and 0.75% utility (piped) gas.

In other words, more than 50% of CPI energy is motor fuel, followed by 35% electricity. By contrast, piped gas has a comparatively low weight, and fuel oil is nearly irrelevant.

FIGURE 1. Subcomponent share of CPI energy relative importance

Source: BLS, Barclays Research

This reality has informed our approach up until now, emphasizing the importance of the motor fuel category for month-to-month CPI energy volatility. While electricity holds a meaningful weight, deriving month-to-month market-implied CPI energy is complicated (more on that below).

A crude approximation that can be refined

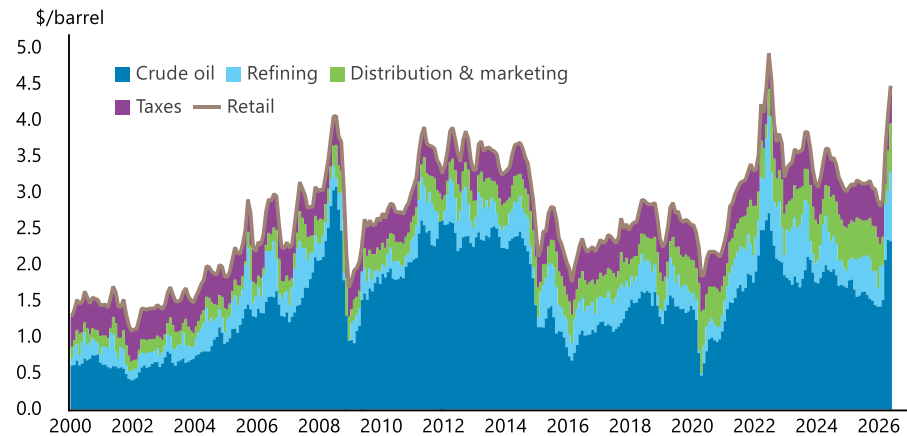
Before we get to the new methodology, it is worth outlining the current framework we use for tracking CPI energy commodities when deriving market-implied "core." Note that our framework was purposefully designed to be as parsimonious as possible to capture the key market-implied energy dynamics.

1. Given that CPI motor fuel has 24x the weight of CPI fuel oil in CPI energy commodities, we focused exclusively on CPI motor fuel (ie, gasoline).
2. In framing retail gasoline dynamics, a nice way to think about pump price components is to decompose the total cost into the combination of: crude oil (WTI), plus refining (ie, the RBOB/WTI crack), plus distribution and marketing, plus taxes. Indeed, that is exactly how the EIA decomposes gasoline pump prices ([Figure 2](#)).²
 - a. On an intellectually appealing related note, according to the EIA, crude oil has represented 50-60% of the cost structure of retail gasoline prices for much of the past decade. This meshes well with our empirically calculated observed passthrough during previous modeling attempts/when deriving energy hedge ratios (for instance, in [Check your model: Hedging energy risk in breakevens](#), June 17, 2025, we found passthrough estimates in the 47-65% range depending on the product/measurement window).
 - b. Moreover, this stacking of the cost structure helps explain why we have previously found an empirical passthrough higher for RBOB than for WTI, but also still below 100% (since some of the retail cost structure reflects distribution and marketing, and taxes).
3. For modeling purposes, we looked at market-implied monthly changes in crude oil using WTI futures, and add on month-fixed effects to capture seasonality in the refining spread

² Gasoline Pump Components History. EIA. https://www.eia.gov/petroleum/gasdiesel/gaspump_hist.php

(ie, seasonality in the RBOB/WTI crack), as well as seasonality in distribution and maintenance costs. Up until now, we have purposefully used WTI futures over RBOB given superior liquidity and arguably a more robust forward price signal.

FIGURE 2. EIA gasoline pump components history

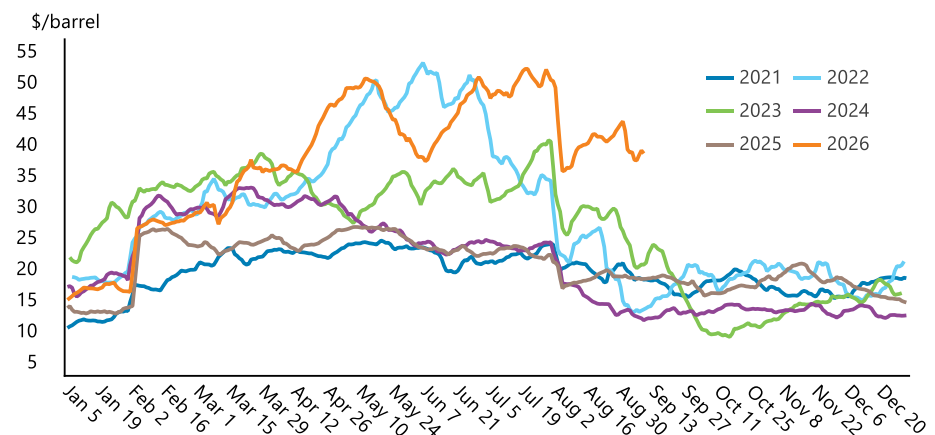


Source: EIA, Barclays Research

Why does the current structure fail?

The first key weakness of this model is that, by using WTI with month fixed effects, one is implicitly assuming normal seasonal behavior in the RBOB/WTI crack. While that is not an unreasonable assumption in normal times, in two of the past five years we have seen major geopolitical events (Russia/Ukraine in 2022, US/Iran in 2026) that drove abnormal behavior in the crack; simply assuming business/seasonals as usual on a forward basis is no longer prudent (Figure 3).

FIGURE 3. Bloomberg fair value RBOB-WTI crude oil crack spread



Source: Bloomberg, Barclays Research

Moreover, one of the key takeaways from Barclays recent deep-dive into the global energy landscape, [Energy in the age of fragmentation](#), September 3, 2026, was that geopolitical risk is rising and energy markets often sit on those exposed fault lines. In a more fractured geopolitical environment, these kinds of events may become more frequent, underscoring the importance of properly tracking the forward market-implied crack spreads.

In essence, there is now a stronger argument for focusing on RBOB futures, rather than WTI, despite inferior liquidity, given the potential embedded price signal regarding the forward crack.

The second key weakness of the model was the hyper-focus on motor fuel. Given the weight in CPI, if one were to choose one energy subcomponent to track, it would be motor fuel, but if we are going to track market-implied energy prices, we should do a thorough job and expand to the other major subcomponents.

Back to building blocks

This section lays out our new framework for tracking market-implied CPI energy. For readers not wanting to get into the details of the methodology, they can [skip to the final section](#), where we derive an updated "core" CPI fixings path from the modernized structure.

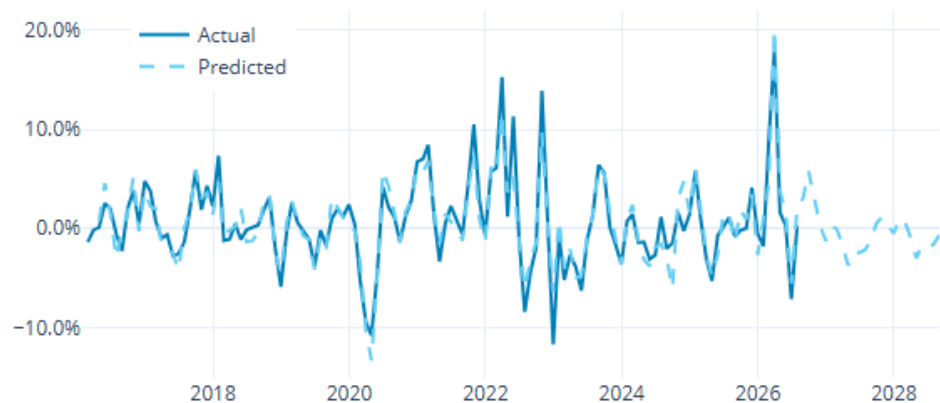
We model each of the four major energy subcomponents (fuel oil, motor fuel, electricity, piped gas) separately, and then aggregate into a market-implied CPI energy path, which can be stripped out of the CPI fixings strip to get an ex-energy CPI fixings path. Moreover, because we are relying on the combination of daily realized data when possible, and augmenting with futures prices that adjust in real time, we are able to generate a high-frequency tracking of the market-implied CPI energy.

This is fundamentally different from a true forecast, as it is purely mechanical and does not make any attempt to adjust for subjective nuances in the outlook. As an example of that in action, earlier this year Barclays economists purposefully switched their reliance on commodity curves to instead reflect Barclays commodity analysts' crude oil outlook; this framework makes no such delineation, focusing purely on the energy-market implied price signal.

Fuel oil and other fuels

For CPI fuel oils NSA, we model month-over-month changes with the month-over-month change in the average of daily realized New York harbor heating oil spot prices from the EIA, along with one- and two-month lags and month fixed effects, resulting in an R2 of 0.86 ([Figure 4](#)). All heating oil coefficients are statistically significant. We then project out forward heating oil prices using the futures curve to derive the market-implied CPI fuel oil path.

FIGURE 4. CPI fuel oil & other fuels NSA m/m: realized vs. predicted



Source: BLS, EIA, CME, Barclays Research

Motor fuel

Getting the CPI motor fuel tracking structure correct is imperative, given the large weight and high volatility of the subcomponent.

As before, we can think of retail gasoline prices in the US as the combination of crude oil (WTI), the refining cost (the RBOB/WTI crack spread), plus distribution and maintenance costs, as well as taxes, following the EIA's structure. Indeed, we find that WTI historically tracks the EIA's

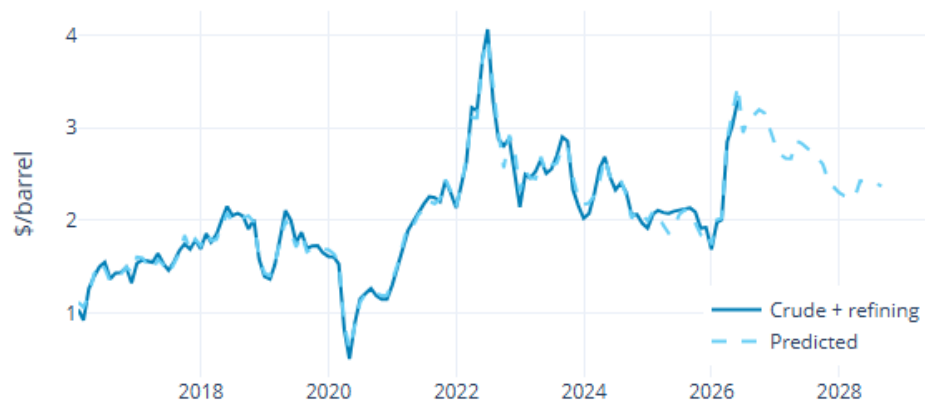
"crude" component well (Figure 5), while RBOB closely tracks the combination of the "crude + refining" components (Figure 6).

FIGURE 5. EIA crude component modeled with WTI futures



Source: EIA, CME Group, Barclays Research

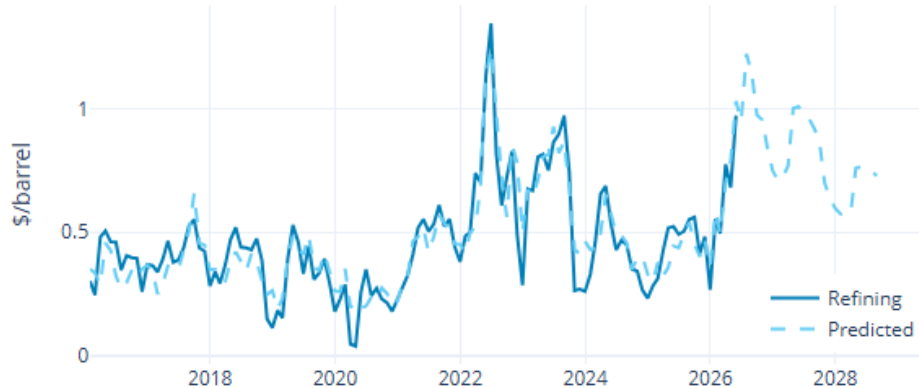
FIGURE 6. EIA crude + refining components modeled with RBOB futures



Source: EIA, CME Group, Barclays Research

One quick aside: tracking the various building blocks of the retail gasoline cost structure in this form allows for more precise calculation of the forward RBOB/WTI crack spread (ie, the refining component, in the EIA's parlance). Doing so shows the energy futures market is implying sustained widening pressure on the RBOB/WTI crack, settling at spreads much wider than those seen pre-COVID, and even more recently before the Iran war (Figure 7). This further underscores the importance of not over-relying on pricing signals from crude oil in isolation.

FIGURE 7. Implied EIA refining component (RBOB/WTI crack spread)



Source: EIA, CME Group, Barclays Research

As such, in our modernized tracking methodology, we model market-implied retail gasoline prices in three steps:

1. We model the combined "crude + refining + distribution and maintenance" components of the EIA's cost structure with realized RBOB (which captures the "crude + refining" components) and month fixed effects (which theoretically capture the distribution and maintenance seasonality) and find an R2 of 0.96 ([Figure 8](#)).
2. We model the taxes component separately, controlling for a very slight drift higher in retail prices from this source with an exponential smoothing model ([Figure 9](#)).
3. We then combine the two to arrive at an implied EIA retail gas level ([Figure 10](#)).

FIGURE 8. EIA crude + refining + distribution and maintenance components modeled with RBOB futures

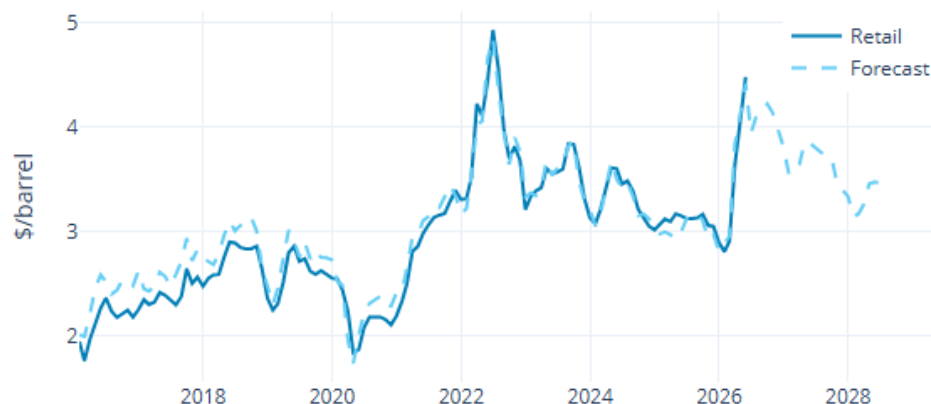


Source: EIA, CME Group, Barclays Research

FIGURE 9. EIA taxes component

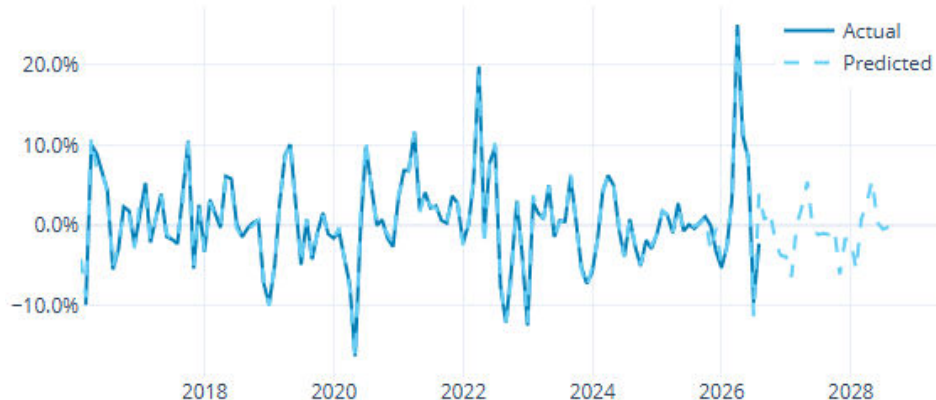


Source: EIA, Barclays Research

FIGURE 10. EIA retail gasoline versus predicted

Source: EIA, CME Group, Barclays Research

Now that we have the market-implied EIA retail gasoline levels, we can then translate into CPI motor fuel NSA terms (Figure 11). Regressing CPI motor fuel NSA m/m on EIA retail gasoline unsurprisingly gives a very high R2 (0.98) with a coefficient just below 1.0.

FIGURE 11. CPI motor fuel NSA m/m: realized vs. predicted

Source: BLS, EIA, CME Group, Barclays Research

Electricity

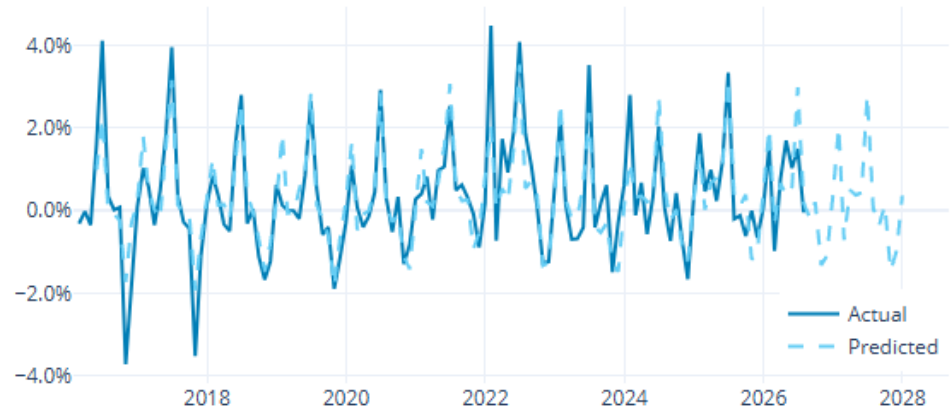
Tracking market-implied CPI electricity has always been a challenge and is something we have probed repeatedly in previous years. Electricity is unlike motor fuel because retail prices are regulated and exhibit significant passthrough delays. The EIA's residential electricity forecast therefore provides a useful publicly available anchor, while lagged natural gas prices introduce an additional market-based signal. As such, rather than attempt to build a grid-specific structure that incorporates the differing energy generation complex across the US, wholesale electricity prices, weather inputs, etc., we instead lean heavily on the EIA's residential electricity forecast from the Short Term Energy Outlook.³

Specifically, we regress CPI electricity NSA m/m on the EIA STEO forecast m/m and the average of the 3-12m lags of natural gas m/m (to account for some delayed passthrough into retail prices), with month fixed effects (Figure 12). The coefficients on the EIA STEO and lagged natural gas changes are both highly statistically significant, and the model has a historical R2 of 0.76.

³ <https://www.eia.gov/outlooks/steo/report/>

Rather than rely solely on the EIA STEO forecast, layering in the natural gas futures lagged signal adds a desirable market sensitivity while improving fit. In our view, the improvement in fit and market sensitivity justifies the added complexity.

FIGURE 12. CPI electricity NSA m/m: realized vs. predicted



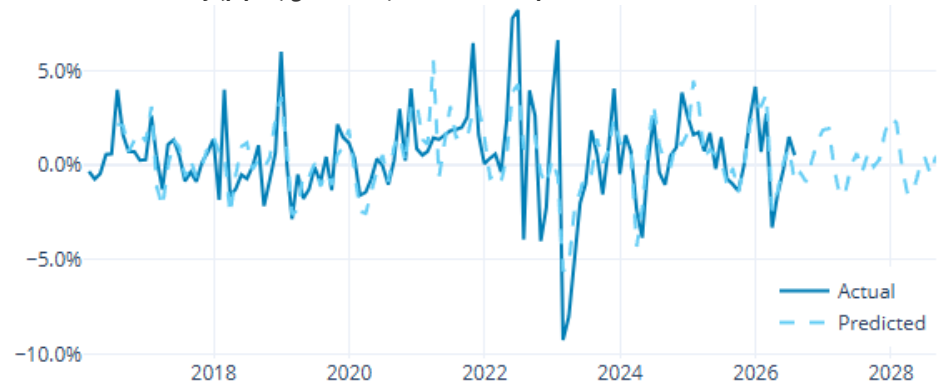
Source: BLS, EIA, CME Group, Barclays Research

Utility (piped) gas

Finally, for CPI utility (piped) gas NSA, we model month-over-month changes with the month-over-month change in average of daily realized Henry Hub natural gas spot prices from the EIA, along with several months of lags (to capture delayed passthrough into retail prices) and month fixed effects, resulting in a middling R^2 of 0.54 (Figure 13). To be sure, the exact lag structure of natural gas is debatable, though we find the strongest relationship with a one-month lag, and statistical significance out as far as five months depending on the measurement window.

As before, we then project out forward natural gas prices using the futures curve to derive the market-implied CPI piped gas path.

FIGURE 13. CPI utility (piped) gas NSA m/m: realized vs. predicted



Source: BLS, EIA, CME Group, Barclays Research

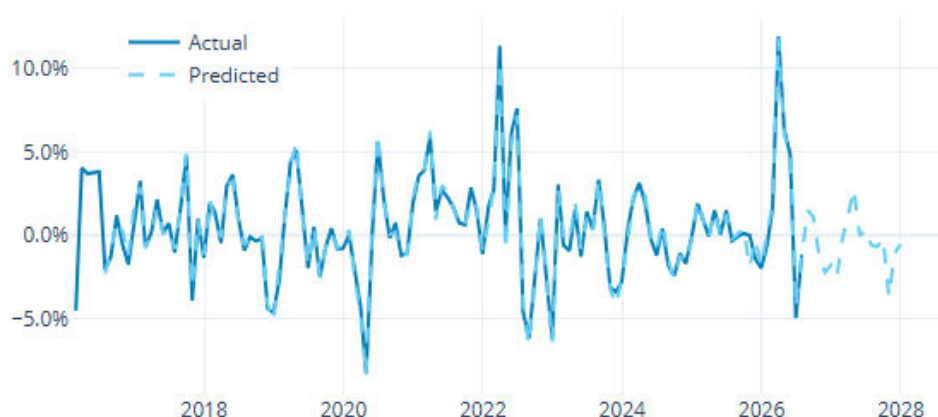
CPI energy

Putting the pieces together, we can combine the above four subcomponents to derive a market-implied energy path. Historically, we find our bottom-up energy methodology has a very tight relationship with realized CPI energy NSA m/m (Figure 14), but with a key nuance: the vast majority of month-to-month volatility is coming from CPI motor fuel (Figure 15).

In many ways, this contribution concentration should be expected; the weight of motor fuel is dramatically larger than fuel oil or piped gas, and motor fuel prices are notably more volatile

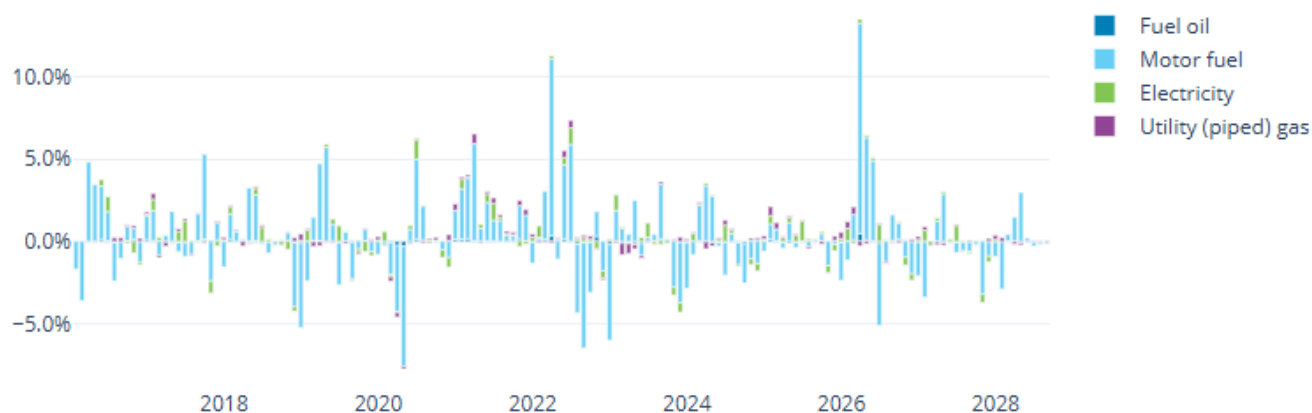
than electricity prices. Moreover, the importance of the motor fuel component meshes well with our prior near-exclusive focus on CPI energy commodities ([as discussed above](#)).

FIGURE 14. CPI energy NSA m/m: realized vs. predicted



Source: BLS, EIA, CME Group, Barclays Research

FIGURE 15. Contributions to CPI energy NSA m/m by subcomponent



Source: BLS, EIA, CME Group, Barclays Research

Fixing the fixings path

From energy to ex-energy

Now that we have a CPI energy NSA m/m path, we can combine it with the CPI headline NSA m/m path derived from the fixings to calculate an ex-energy CPI SA m/m path; ie, our proxy for market-implied "core".

To do this, we convert the CPI energy NSA m/m path to SA m/m using the BLS' seasonal factor for CPI energy, but there is a potential bias. We think it prudent to use this seasonality assumption, but would emphasize some anomalous seasonal behavior. For example, CPI energy SA m/m was negative in April for six straight years, from 2020 to 2025, and has been either flat or negative for five straight years in July (2022-26). While possible, the persistence in some directional readings does raise an eyebrow that the BLS's seasonal vectors may be generating some residual seasonality.

FIGURE 16. CPI energy SA m/m

Year / Month	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
10 Yr Avg	.40	.02	1.14	-.69	-.11	1.16	-.52	.40	1.20			.56
2026	-1.47	.63	10.87	3.81	3.88	-5.71	-1.48					
2025	.87	-.06	-1.13	-.56	-.71	.43	-.62	.69	1.43			.34
2024	-.29	1.21	1.89	-.37	-1.20	-2.07	.00	-.93	-1.10	.12	.10	2.40
2023	2.20	-1.34	-2.02	-.71	-2.35	.52	-.06	4.27	1.85	-2.00	-1.61	-.49
2022	.85	1.90	10.09	-2.52	4.60	6.93	-4.88	-5.09	-1.42	1.99	-.61	-3.95
2021	3.31	3.19	4.73	-1.03	1.14	1.63	1.24	1.78	1.92	3.85	3.55	1.55
2020	-.47	-2.66	-5.89	-9.47	-1.39	4.83	1.71	.70	1.76	-.30	.46	4.39
2019	-4.35	1.86	3.26	3.48	-.85	-2.54	.82	-1.31	-.39	1.06	1.03	1.70
2018	1.54	1.52	-2.01	1.60	.86	-.04	-.46	1.30	.53	.92	-3.33	-2.23
2017	2.94	-.60	-.79	.21	-2.22	-.32	-.92	2.78	5.60	-2.07	2.27	.25
2016	-2.58	-4.77	3.31	2.46	1.01	2.28	-2.00	-.14	1.84	1.94	.20	1.60

Source: BLS, Bloomberg, Barclays Research

We then convert the CPI headline NSA m/m to SA m/m using the BLS seasonal vector; from here, it is trivial to strip out the energy component to arrive at a market-implied CPI ex-energy fixings path, as shown in the formulas below.

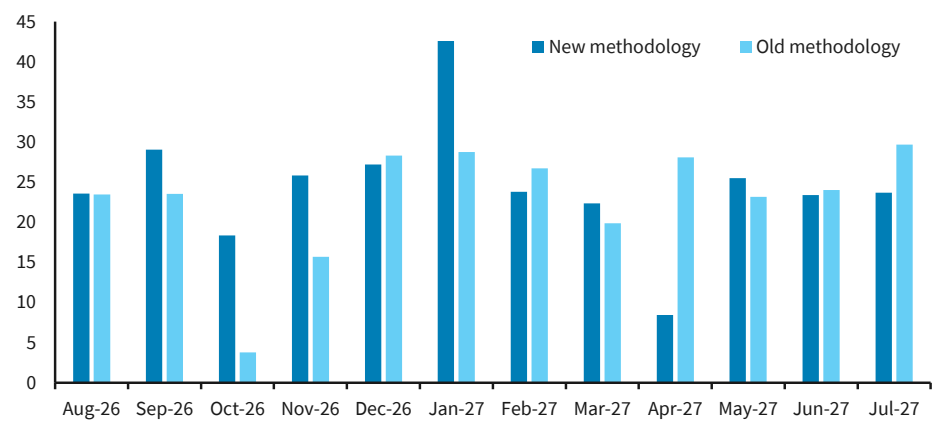
$$CPI_t = w_{E,t-1} \cdot CPI_t^E + (1 - w_{E,t-1}) \cdot CPI_t^{exE}$$

$$CPI_t^{exE} = \frac{CPI_t - w_{E,t-1} \cdot CPI_t^E}{1 - w_{E,t-1}}$$

Finally, where does this leave the market-implied fixings path shortly before the August 2026 CPI release?

- In general, we find a smoother path largely holding in the 20-25bp range through July 2027.
- Notably, our tracking smooths out the sharp drop in the October 2026 market-implied "core" proxy, due to the more precise tracking of the forward RBOB/WTI crack. We calculate a market-implied 18bp for October 2026, versus 3bp in the previous structure.
 - Note that the seasonal factor for October specifically is extra complicated at the moment due to the missing October 2025 data, and thus the precision on the fixing (for more on this, see [Seasons spinning 'round again; the years keep rollin' by](#), February 17, 2026).
- By contrast, the January 2027 "core" fixing looks somewhat extended and above the broader run rate at c.40bp.
- One other note is that the generated April 2027 core fixing is quite low. However, as mentioned above, the April seasonal in recent years has been somewhat imbalanced, leading us to have less conviction around that month as well.

FIGURE 17. Market-implied "core" tracking comparisons



Tracking as of September 9, 2026.
Source: Barclays Research

The key conclusion is that a more complete treatment of CPI energy materially changes the implied ex-energy path. Most importantly, it eliminates several distortions introduced by assuming normal seasonal behavior in gasoline refining margins, resulting in a smoother and, in our view, more realistic market-implied fixing profile.

Market pricing contains substantially more information about future CPI energy inflation than can be captured through a crude-oil-only framework. By incorporating refining margins, electricity, utility gas and fuel oil directly, our bottom-up approach produces a materially different ex-energy fixing path and provides a more complete measure of market-implied inflation.

Derivatives Strategy

Still quite orderly

We continue to favor option trades that retain exposure to unresolved Fed policy uncertainty, while fading the risk of an extreme long-end sell-off. In swap spreads, we expect the 20y sector to continue to benefit from increased buybacks by the Treasury.

Despite the sell-off, vol is surprisingly contained

10y Treasury yields are approaching 5%, returning to levels last seen during the QRA-driven sell-off in late 2023. Rates are high across the curve, CPI remains a risk this week, and the outcome of next week's FOMC remains uncertain. Mid-terms remain an issue that the market is increasingly likely to focus on, especially if prospects of post-election fiscal easing increase. But the broader message from the options market is that high rates are no longer seen to be implying more rate uncertainty.

Given the prevailing uncertainty, one might expect interest rate volatility to be making new highs. While vol has risen somewhat – 3m10y implied volatility has risen towards 80bp/y from nearly 70bp/y two weeks ago, it remains well below levels of around 130bp/y reached when 10y yields were last near 5% (Figure 1). In 2023, the markets viewed these yield levels as unstable amid substantial uncertainty about inflation, Treasury supply and the market's capacity to absorb duration. The price action in vol markets recently, however, suggests that this sell-off is relatively controlled. Financial conditions are not tightening as dramatically, and the sell-off is also unlikely to reverse.

Overall, market expectations about rate levels remain quite anchored. Investors do not appear to expect uncertainty around the Fed's next few decisions to develop into a broader loss of control over the rates outlook. Similarly, despite persistent concern about deficits and Treasury supply, the market is not pricing a disorderly fiscal repricing.

Positioning in options markets also suggests that there is very little panic buying of protection associated with the high levels of long-end yields. When we look at the breakdown of SDR flows over the past few weeks (Figure 2), they show that volatility buying has mainly been concentrated in the top left, where uncertainty about the Fed's reaction function matters most, while investors continue to sell volatility elsewhere – in fact, systematic short-gamma activity remains high even as long-end yields have risen. Ladder/ratio payer spread type structures have also been reported in the data, suggesting investors do not expect a sharp long-end sell-off (although the resulting positioning has the potential to sharply increase implied vol if the sell-off does continue).

Next week's FOMC remains important, even if CPI produces a clearer consensus around the immediate rate decision. With less forward guidance, the meeting is not simply a binary event.

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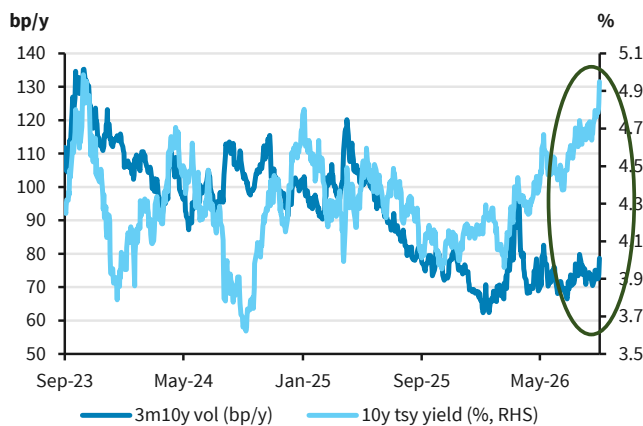
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Markets will also be looking for information about the Committee's reaction function and how individual views are translated into a collective decision. The decision itself may therefore resolve one source of uncertainty while introducing another about the path of policy over subsequent meetings. This is one reason why we think the passage of the event need not produce the usual decline in short-expiry volatility.

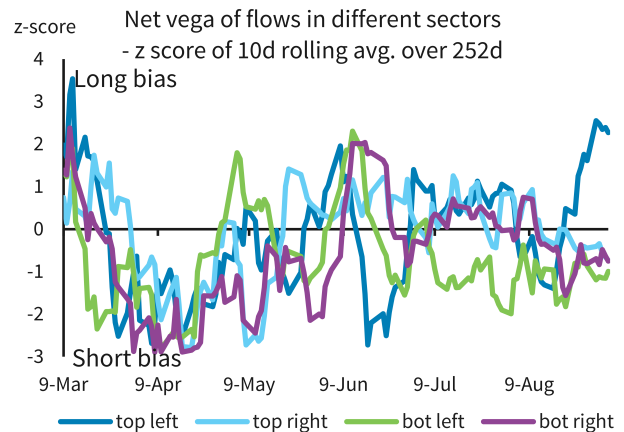
- We therefore maintain 6m1y near-ATM receiver spreads. These trades retain exposure to the possibility that activity softens later this year, or that the bulk of the committee's reaction function turns out to be less hawkish than current pricing implies. The six-month expiry also allows the uncertainty to extend to the next several FOMC meetings.
- At the long end, the sell-off has moved further than we anticipated last week. However, the relatively small rise in implied volatility argues against extrapolating the move into a 2023-style disorderly repricing – despite the moves over the past few weeks, the realized beta between ATM vols and ATM rates in most parts of the right hand side has been just about sufficient to justify the payer skew that the market was pricing in. We therefore also maintain the 2y30y 1x2 payer spread.

FIGURE 1. Rate volatility is well below the levels that were seen when rates were last at these levels in 2023



Source: Barclays Research

FIGURE 2. Over the past few weeks, vol buying has mainly been focused on the parts of the vol surface exposed to Fed uncertainty



Source: Barclays Research

US swap spreads

Equities retreated as Brent crude moved back above \$100/bbl following another escalation of attacks in the Middle East, renewing concerns about energy prices and geopolitical risk. In rates, the Treasury announced an increase in the maximum buyback size to \$6bn for Thursday's 10-20y operation (September 10), while maintaining the rest of the long-end operations to sizes to at least \$4bn. We think the announcement broadly aligns with our expectations, allowing the Treasury to preserve some flexibility to upsize (or even downsize if necessary) as buyback operations and market conditions warrant. That said, the market was disappointed by the announcement, having expected larger buyback sizes.

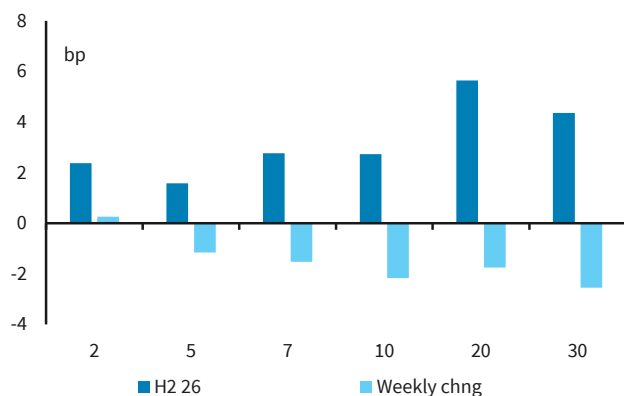
Long-end yields drifted back towards 5.30% while swap spreads modestly tightened on the initial buyback reaction. Throughout the week, spreads modestly tightened (Figure 3) amid the risk-off tone and the post-Labor Day surge in corporate issuance with nearly \$70bn of supply at this writing. We continue to expect heavy supply in the coming weeks with street estimates pointing to upwards of \$200bn+ for September. Elsewhere, funding conditions remain benign

given the pare down in bills heading into the September corporate tax date which has kept front-end (2y) spreads well supported.

As for long-end spreads, we think they are fairly priced at current levels given the move from the initial buyback announcement in August. Assuming a baseline estimate of \$4bn per operation for each of the 10-20y and 20-30y buckets, that is equivalent to an incremental increase of about \$64bn per annum, or a \$100bn 10y equivalent reduction in annual supply. We had noted that if this is an ongoing permanent reduction in supply, (see [The Treasury is watching](#)), this translates into an effective 0.3% GDP improvement in budget deficits. In our framework, 1% deficit/GDP is worth about 10-15bp in 30y spreads, which means 0.3% equates to about +5bp widening in spreads, consistent with the market reaction before the latest retrace.

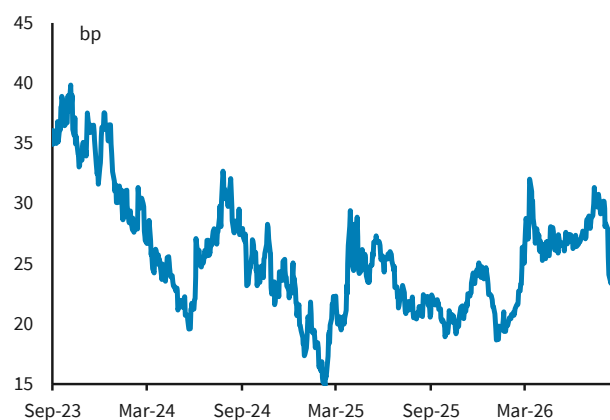
We think the 20y sector will continue to benefit from increased buyback sizes. The point has richened on the curve when adjusted for the underlying rate curve ([Figure 4](#)) and we maintain our recommendation to be long 10s20s30s ASW fly. While liquidity conditions have been well behaved over the past year, liquidity conditions in off-the-run 20s, especially vintage issues could use liquidity support, more so than the off-the-run 30y sector. RMSEs in the 10-20y sector have risen, but from low levels.

FIGURE 3. Swap spreads were modestly tighter this week despite the buyback announcement being underwhelming



Source: Bloomberg, Barclays Research

FIGURE 4. The 20y sector has outperformed on the curve.



Using CMT ASW levels (1:2:1)
Source: Barclays Research

Euro Area: Rates Strategy

Four-sigma shocked

The rapid surge in energy prices alongside an ECB meeting that did little to short-circuit the sell-off has resulted in a four-sigma move in the EUR front-end. With the conflict dragging on, calling a top in terminal rate pricing feels like chasing fool's gold. We initiate a ERZ7ERZ8 flattener.

This time trades different. It's been a summer to forget for the EUR rates complex. 10y Bunds are suffering their fourth worst quarter in the past decade with a 64bp increase in yields (with the top-3 all coming in 2022). Commensurately, the Bloomberg Aggregate EUR index is also suffering its fourth largest quarterly drawdown (-3%) in the past decade and its weakest quarter since Q3 22. This is striking since the yield cushion is proving insufficient in wake of the persistent rise in yields despite it being significantly higher than it was in 2022.

The primary driver of the bearish repricing in EUR rates since March has been the surge in energy prices, and the story is no different for the Q3 sell-off. For example, the ECB's synthetic energy price index, which is a combination of 60% Brent and 40% natural gas prices, soared c.90% in Q1 and has risen a further 60% so far in Q3 (after declining by c.30% in Q2). While the Q1 surge was driven largely by Brent prices, the Q3 acceleration was initially entirely down to Dutch TTF prices and more recently also Brent ([Figure 1](#)).

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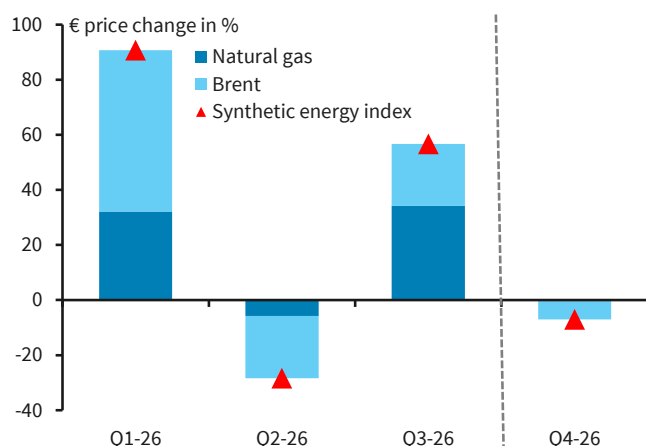
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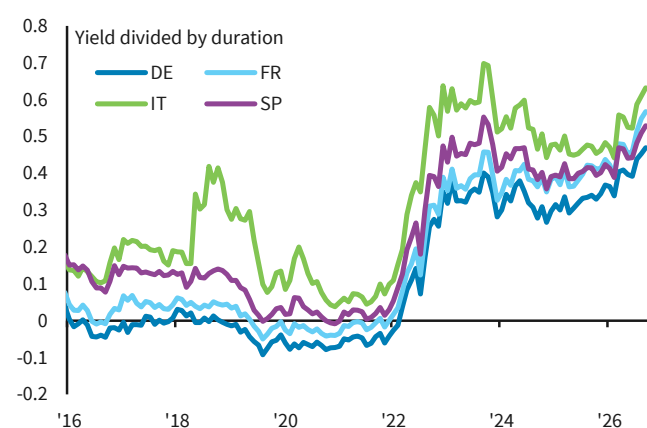
FIGURE 1. Energy prices have continued to rise in Q3, with YTD change in the synthetic energy price index at c.116%



Contributions of natural gas and Brent price changes to changes in the Synthetic Energy Price Index

Source: Bloomberg, Barclays Research

FIGURE 2. EGB yields offer a lot of cushion but have been unable to prevent total return losses in Q3 and YTD

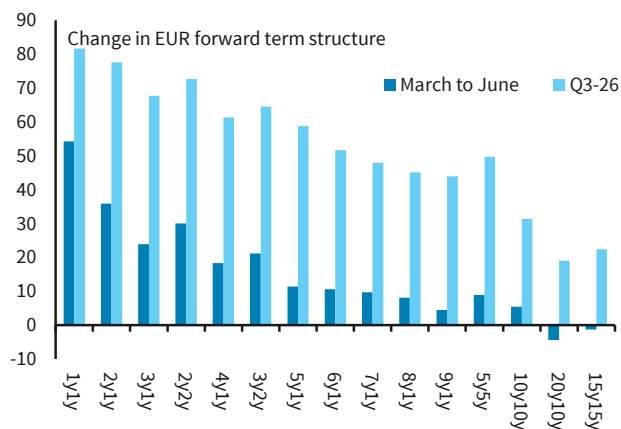


Source: Bloomberg, Barclays Research

Despite the key catalyst for the bond sell-off being the same (energy prices), something about the moves in Q3 is different. Specifically, the initial phase of the war and the consequent rise in energy prices weighed heavily on the front-end of the curve as the market dusted off the 2022

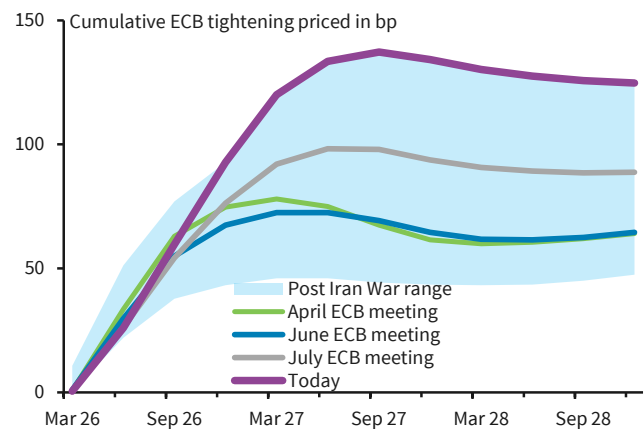
energy playbook and the ECB's reaction function to that shock. That said, a parallel discussion was that demand conditions in 2026 are not comparable to 2022 (ie, no pent-up demand from COVID lockdowns) and hence hiking policy rates into a pure supply shock would be growth negative (for example, the ECB has adjusted its risk-assessment on growth to the downside). With the conflict widely expected to be short-lived, alongside potential growth headwinds from policy tightening, the cycle was expected to be contained to one or two hikes and, *importantly*, to be reversed in short-order as the focus would have reverted to the AI productivity-surge driven deflation narrative that was prevailing before the war began. Hence, as the market added rate hike pricing in 2026, it also started pricing a reversal in 2027.

FIGURE 3. The Q3 sell-off has seen the entire term-structure rise with the belly of the curve faring the worst in sharp contrast to the initial response to the energy shock which was in the front-end



Source: Bloomberg, Barclays Research

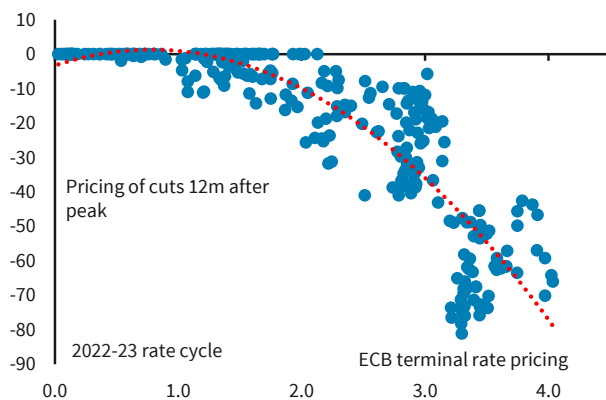
FIGURE 4. EUR STIR curve is well above where it was at the time of the July ECB and prices higher for longer rates with barely any premium for policy reversal in the future despite it being a pure supply shock



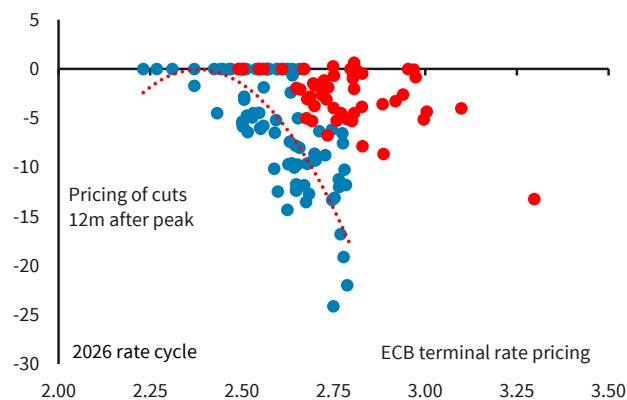
Source: Bloomberg, Barclays Research

However, the sell-off since July has weighed on the entire EUR term-structure with the belly of the curve underperforming the front-end despite the key catalyst continuing to be energy prices. For example, 2y2y ESTR is now higher than it was in the 2022 cycle whereas EUR2s5s10s fly has been steadily cheapening and is also approaching close to local highs. What's even more striking is that despite the pure energy supply shock narrative with little demand-driven impulse for inflation and with terminal rate pricing having reached c.100bp above the ECB's neutral rate estimate, the market prices virtually nothing in terms of reversing these hikes. For example, market pricing reflects a continuation of rate hikes into 2027, with only c.13bp of rate cuts priced between 2027 and 2028. This is in contrast to how market traded the rate path in 2022 and also in Q1 26.

Figure 5 and Figure 6 show this contrast in how the market traded in 2022 versus what is happening this year. Specifically, we look at how the ECB's terminal rate pricing evolved and the scale of cuts being priced by the market 12 months after the peak terminal pricing was reached. In 2022, as Figure 5 shows, the market started pricing cuts further out as the terminal rate pricing exceeded 1.5-2%. Loosely speaking, these levels could be interpreted as market's expectation of neutral rates, as terminal rate pricing beyond these levels warranted a reversal at some point in the future. Also, as terminal rate pricing kept increasing, so did the magnitude of cuts further out.

FIGURE 5. In the 2022 cycle, market started pricing cuts as terminal rate pricing crossed 2%

Source: Bloomberg, Barclays Research

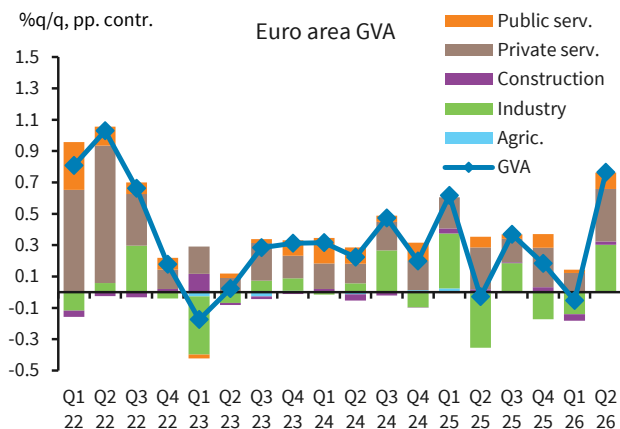
FIGURE 6. This time around, the pricing of cuts or reversal of these hikes has been shallow

Note: Red dots are data points for Q3 26. Blue dots are from March to June 2026
 Source: Bloomberg, Barclays Research

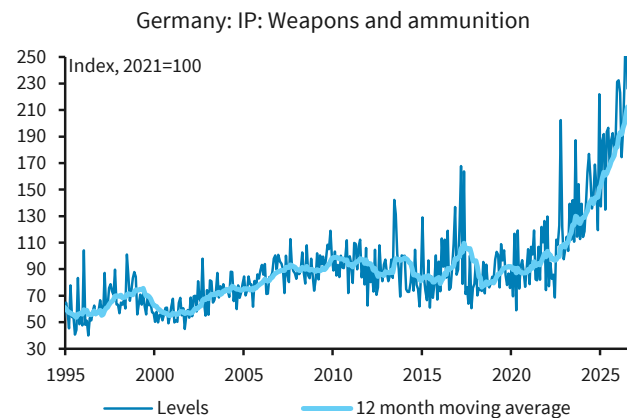
In the 2026 cycle, this dynamic was visible initially as terminal rate pricing started to build following the start of the war, especially given the narrative discussed above. However, in the hawkish repricing since start of July that has seen terminal rate pricing shift higher by c.50-75bp, the market has failed to add to cuts further down the line in any meaningful size. Using the same interpretation of these dynamics as for the 2022 episode, one can say that the market's interpretation of the neutral rate has shifted higher. Put differently, the resilience of data since the conflict began shows that the current increases in policy rates and the financial conditions tightening are not biting for now. It's only after today's sharp sell-off and increase in terminal rate pricing that we have started to see pricing of cuts increase further out.

This resilience in euro area activity over the past two quarters has challenged all previous notions of how the economy would respond to an exogenous shock and proved to be one of the single biggest factors behind the struggle EUR rates have endured beyond the energy-driven front-end move. The internals of the growth data, especially from the gross-value added perspective, shows that manufacturing appears to have regained some footing, particularly in Q2 which is corroborated by what we have learned from PMIs. Furthermore, several factors seem to have been at play, including front-loading dynamics as both domestic and foreign customers rushed to build inventories ahead of potential supply chain disruptions and price increases, the boost from higher defence spending, and some early spillovers from the global AI cycle. On a more granular level, the positive effects of increased defence spending are clearly showing up and could also spillover to other parts of manufacturing.

It's precisely because of the initial signs of this growth resilience we had exited [our long EUR2s5s10s fly trade](#) in early July at a small profit. That said, we had neither the foresight nor the conviction or courage to go the opposite way and pay EUR rates for this theme of growth resilience, given the lingering chance that a Middle East ceasefire could come at anytime.

FIGURE 7. Euro area growth in Q2 was broad based with all engines contributing

Source: Haver Analytics, Barclays Research

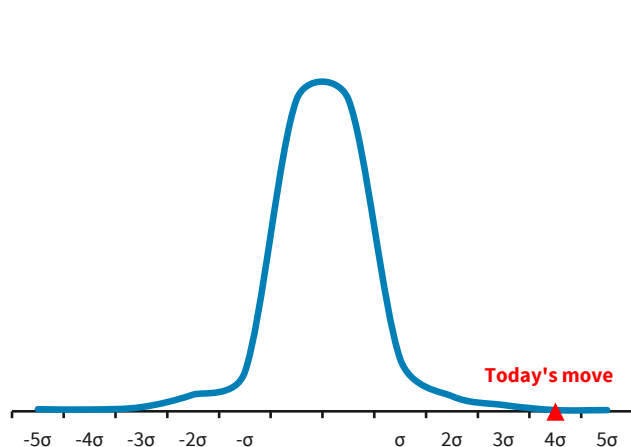
FIGURE 8. Increase defense spending is working its way through the German economy

Source: Statistisches Bundesamt, Haver Analytics, Barclays Research

Of course, past resilience does not guarantee that the growth cycle would not be derailed in the future. Agreed there are elements such as the defence spending and the AI cycle that may be less sensitive to the rate path, but the sustained increase in energy prices would weigh on consumer confidence and hence on household consumption. Furthermore, to the extent that the front-loading dynamics run out of steam, upcoming PMIs could reverse their recent strength. That said, the burden of proof lies with actually seeing the evidence that this resilience is breaking down rather than drawing narratives that the energy shock will weigh on growth. After all, the market would not like to be fooled twice.

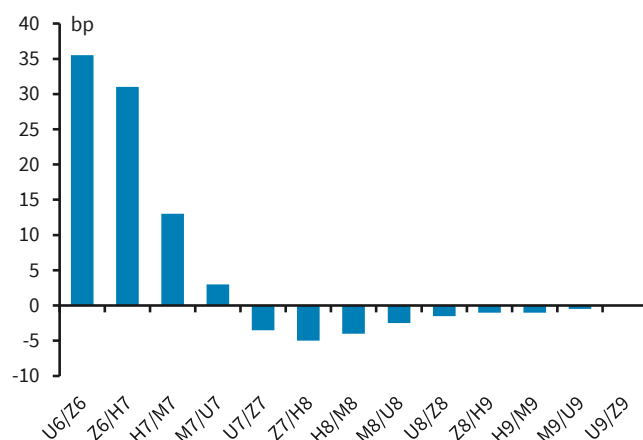
Where does this leave us? Today was VaR shock as an already hawkishly priced market out-hawked itself. We expected the ECB may offer some nuance around further policy tightening but nothing came by and with President Lagarde ditching the concept of neutral rates, the invisible guardrails that could cap the tightening cycle also disappeared. This leaves the market firmly in the throes of energy price developments with nothing in way of central bank guidance to distinguish the scale of tightening needed in a pure supply shock. Admittedly the current terminal rate (c.3.3%) that pencils in c.80bp of further tightening appears excessive. But what is cheap can get cheaper and in the backdrop we find ourselves in, calling the peak in market pricing feels premature.

However, today's market reaction suggests that a continued sell-off could lead to inversion further down the money market curve as shown by the move beyond Z7. **We thus recommend initiating a ERZ7Z8 flattener (entry: -13bp target: -35bp stop: +0bp).** We acknowledge that the entry level looks less attractive than it did yesterday and the trade is directional to yields but in the current backdrop, we think it offers good risk-reward.

FIGURE 9. Today delivered a four-sigma increase in 1y1y EUR

Note: The chart shows the distribution of daily changes in 1y1y EUR over the past 10 years

Source: Bloomberg, Barclays Research

FIGURE 10. The Euribor curve has started flattening beyond U7 as terminal rate pricing has continued to build

Source: Bloomberg, Barclays Research

Looking to next week, the Fed meeting is scheduled for Wednesday, followed by the BoE on Thursday and the BoJ on Friday. The euro area data calendar is relatively light. In the UK, labour market data are scheduled for Tuesday, followed by CPI on Wednesday. In the US, retail sales data will be released on Wednesday. In terms of EGB supply, Finland and Germany will hold auctions on Tuesday, followed by Germany and Greece on Wednesday and France and Spain on Thursday. In addition, an EU bonds syndication is expected next week, while UST auctions are scheduled for Tuesday and Thursday.

ECB: Robust and appropriately agile

The ECB's policy statement brought little by way of new messaging, with new staff forecasts the main area of focus. The ECB's new baseline sees headline inflation averaging 3.0% in 2026 (unchanged), 2.5% in 2027 (+0.2pp) and 2.1% in 2028 (+0.1pp). Meanwhile, core is seen at 2.5% in 2026 (unchanged), 2.6% in 2027 (+0.1pp) and 2.3% in 2028 (+0.1pp). The forecasts also included upward revisions to the growth profile, to 0.9% for 2026 (+0.1pp), 1.4% for 2027 (+0.2pp) and 1.5% for 2028 (unchanged).

The statement described the upward revisions to 2026/7 growth as "mainly reflecting the greater than expected resilience of the euro area economy". Relative to the expectations of our economists, the forecast revisions were incrementally more hawkish, in particular the modest upward revisions to the core inflation profile (our economists had expected little change here), and slightly bolder than expected upward revisions to the growth profile. With respect to the scenario analysis which was provided, sharp moves higher in oil/gas since late-August mean that energy prices are already close to the new adverse scenarios provided by the ECB, rather than the baseline.

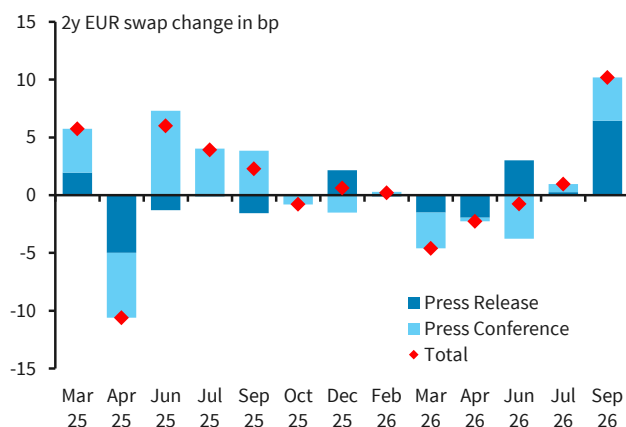
In the Q&A, Lagarde was pressed on the ECB's reaction function and current market pricing. In response, she simply reiterated the ECB's focus on the inflation outlook, underlying inflation and policy transmission, and emphasised that the ECB is data-dependent. She also noted that "markets do what they have to do... they do their job, we do our job", thereby declining to push back on market expectations of further rate hikes after September. Subsequently, Lagarde reiterated the ECB's meeting-by-meeting approach several times, noting "we are not taking a view as to which direction we go at our next meeting... we are ready to demonstrate the appropriate agility... What we have to do in the future will be determined at each and every

meeting". These remarks appeared to signal that even non-forecast meetings would be "live" for policy rate adjustments if necessary.

Elsewhere, questioned on how the ECB thinks about moving policy into restrictive territory, she stated: "this neutral rate band is work in progress on a constant basis... this is highly conceptual, you cannot actually pinpoint the neutral rate... we are not attaching a great importance in the current circumstances to the neutral rate". This gave a sense that the ECB does not attach a much higher bar to further rate hikes, relative to those delivered already. In relation to the ECB's scenario analysis, she noted: "against all three scenarios, our decision to increase rates by 25bp is robust". This could be perceived as a somewhat hawkish tilt, given the indication that September's rate hike would have been appropriate even in the ECB's baseline scenario. On the less hawkish side though, Lagarde noted that signs of indirect and second-round effects remain limited so far.

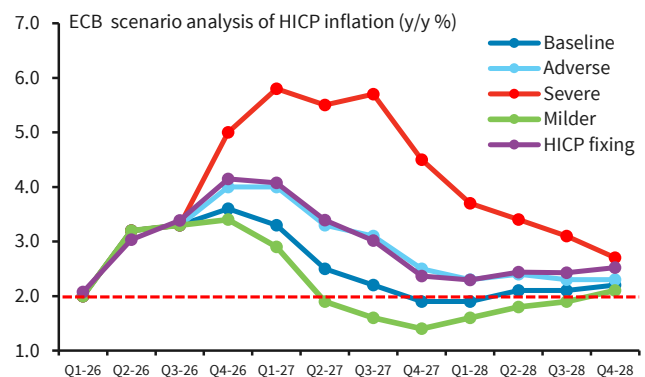
On the topic of sharp moves higher in bond yields, Lagarde drew attention to supply/demand dynamics in bond markets globally, with "significant financing needs" putting upward pressure on yields. On Jean-Luc Melenchon's debt cancellation proposals, Lagarde argued that this would be a "pure violation" of European treaties. She also labelled the proposals "financially dangerous", arguing that they could result in creditors demanding greater risk premium to lend to the French state.

FIGURE 11. EUR yields rose sharply around the ECB's press conference, against a backdrop of spiking energy prices



Based on narrow intraday windows around the event.
Source: Bloomberg, Barclays Research

FIGURE 12. Inflation fixings are roughly in line with the ECB's new adverse scenario already



Source: ECB, Barclays Research

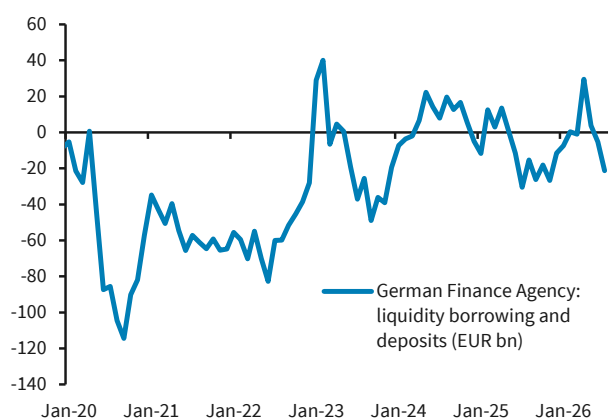
German Q4 funding preview: Steady as she goes

Max Kitson Barclays, UK | Pratham Hukmat Kingar Barclays, UK

In the weeks ahead, focus will start shifting to Germany's Q4 funding preview, which is typically released in the second half of September (on 18 September last year and in 2024). Year to date, the GFA has refrained from making any adjustments to the issuance calendar at the quarterly updates in March and June. For the Q4 update, investors will nonetheless be focussed on execution risks around German infrastructure/defence spending plans, and whether these could translate into material adjustments to the issuance calendar.

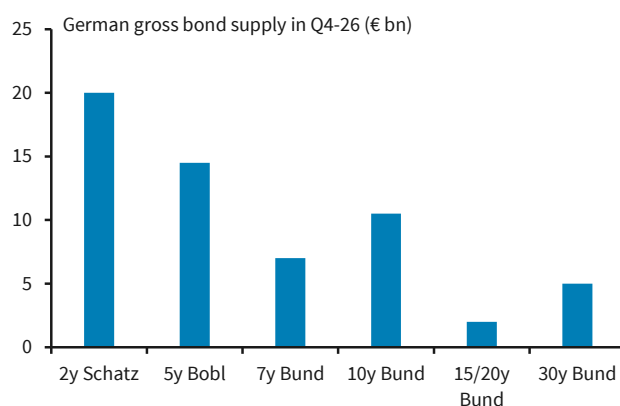
With respect to the infrastructure fund, c.€30bn had been disbursed YTD at end-August⁴, versus c.€58bn of planned full-year investment from the fund. This could point to some risks that full-year spending undershoots the planned total, but an acceleration in disbursements over September-December remains a possibility. As for the special defence fund, €25.5bn of net borrowing is planned for 2026; at end-July, outstanding debt attributed to this fund had risen by c.€10bn YTD. Elsewhere, the liquidity borrowing and deposits line item on the GFA's monthly balance sheet (which provides an indication for cash balance levels) stood at -€21bn at end-July, versus -€5bn one month earlier. This indicates a significant increase in GFA cash balances in July (a cash surplus is recorded as a negative number), but we would be cautious in terms of drawing strong conclusions around execution risks from a single month's data. In any case, **the end-July level of GFA cash balances does not appear unusually high by historical standards (Figure 13).**

FIGURE 13. The end-July level of GFA cash balances does not appear unusually high by long-term historical standards



Source: GFA, Barclays Research

FIGURE 14. The GFA is scheduled to hold €59bn of conventional bond auctions in Q4



Source: GFA, Barclays Research

Against this backdrop, **our base case is for the GFA to refrain from sizeable adjustments to the Q4 issuance calendar** (which currently pencils in €59bn of conventional bond auctions, alongside €47bn of bill auctions). To that point, even if execution risks around infrastructure/defence spending are still in play, it does not yet appear evident that full-year spending will undershoot planned volumes by a large margin, as noted above. Furthermore, **on its June analyst call, the GFA signalled that if expenditure falls short of planned volumes, the impact would predominantly be felt in short-term liquidity instruments** (eg, repo market borrowing/lending), rather than in bond/bill issuance. The GFA may also be mindful of the heavier total net borrowing planned for next year (increasing by c.€22bn across core borrowing and special funds to just above €200bn). At the margin, heavier borrowing expected in 2027 could reduce the incentive for the GFA to make sizeable reductions to Q4 issuance volumes (with any cash surplus at year-end contributing to 2027 funding needs). At the same time, **we do not expect the GFA to actively increase Q4 auction volumes in anticipation of 2027 funding needs, given its historical preference to refrain from deliberate pre-funding.**

Summary of our trade recommendations

Earlier this week, we took profit on our [long Dec-MPC versus ECB](#) recommendation. As explained above, we are initiating a ERZ7ERZ8 flattener.

⁴ Federal share only, including allocations to the Climate and Transformation Fund; at end-August, a further €1bn had also been disbursed under the Länder pillar.

FIGURE 15. Summary of our trade recommendations

Open trades	Date entered	Entry	Target	Stop	Current	P&L	Publication in which recommended
ERZ7Z8 flattener	10-Sep-26	-13	-35	0	-13	0.0	
Long 30y DSL vs Bunds	20-May-26	2.0	-10.0	10.0	-1	2.8	DSL-Bund: closing the gap
Recently closed trades	Date entered/closed	Entry	Target	Stop	Close	P&L	Publication in which recommended
Long Dec-26 MPC versus Dec-26 ECB	12-Jun-26/9-Sep-26	150	100	175	137	13	Riding the roller-coaster

The history of Barclays Research investment recommendations can be found [here](#). Market levels for open trades captured at 1600 London time, 10 September

Source: Bloomberg, Barclays Research

UK: Rates Strategy

Release the pressure

September's MPC meeting takes place against a backdrop of highly volatile market conditions. The MPC might be forced to ratchet up its hawkish rhetoric in order to control the evolution of front-end risk premium.

The MPC is set to announce its latest policy rate decision at its 17 September meeting. Alongside that, the MPC will also announce its decision on the next phase of its QT program, to run October 26-September 27. There is near universal market expectation that the policy rate will be held at 3.75% and that the QT renewal will be for an overall reduction of £50bn, taking the level of reserves created by gilt purchases from £488bn to £438bn. Our economists have published their [MPC preview](#) and we also looked at the [options for the QT announcement](#). As September is a non-MPR month, there will only be the minutes and monetary policy statement accompanying the decision.

Policy rate: Talking the talk, not the walking the walk

As noted above, market expectations are for the policy rate to remain at 3.75%, with the vote unchanged from July's 6-3 split. At the July MPR, Governor Bailey was as explicit as he has ever been on the outlook for the policy rate, saying "Please do not leave this room thinking that the Bank of England is edging towards a hike, because, frankly, there's nothing in what I said, and I think any of us have said, along those lines." However, at his latest appearance at TSC, he offered a more chastening view, warning that for inflation, "The risks are on the upside, the risk particularly being with energy prices...what I want to dispel is the idea that we have a secret plan and we know where we are going to go to."

[Figure 1](#) shows how market pricing has evolved since the publication of July's MPR. The further deterioration of the Gulf situation has led front-end pricing to grind higher as the oil price and inflation risk increased. The market is now pricing 43bp of hikes by the end of 2026 and a further 65bp in 2027, taking the implied policy rate above 4.80% by end-2027. The challenge to the MPC is that with their global central bank peers now pricing in more tightening, if it sounds more cautious or circumspect on market pricing, it risks appearing out of tune with the messaging from others. [Figure 2](#) shows the step and cumulative pricing for the MPC to the end of 2027. The uncertainty that sits in the market is manifesting itself in the pricing of November through February. The meetings are pricing 20/19/21bp, respectively, so adding in the 6bp priced for September yields a total of 66bp of tightening. The MPC has given no indication that a hiking cycle (should it be required) would consist of sequential hikes. Traditionally, the market might have been more inclined to put more weight on MPR meetings, but it sees each of the near-term meetings as "live," with policy set on a meeting-by-meeting basis. If this is now subsumed in market pricing, it leaves the limited pricing for September as intriguing. Given the speed of the move and the hardening of central bank rhetoric, a surprise 25bp rate hike cannot and should not be ruled out.

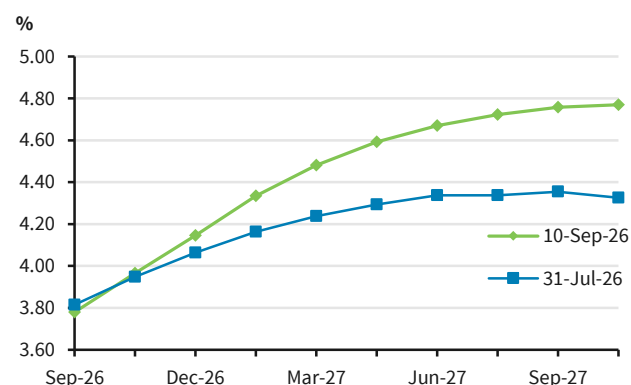
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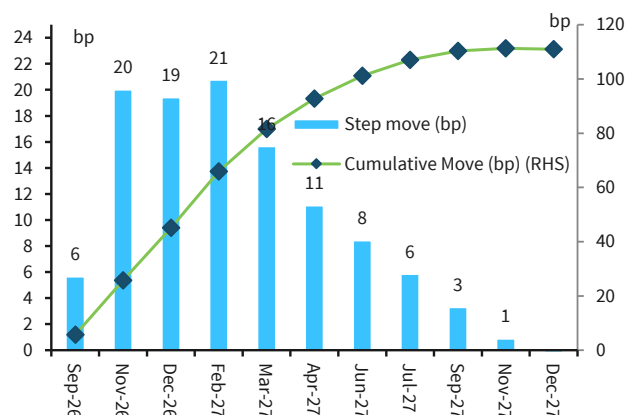
Barclays, UK

FIGURE 1. Market pricing: July vs. live



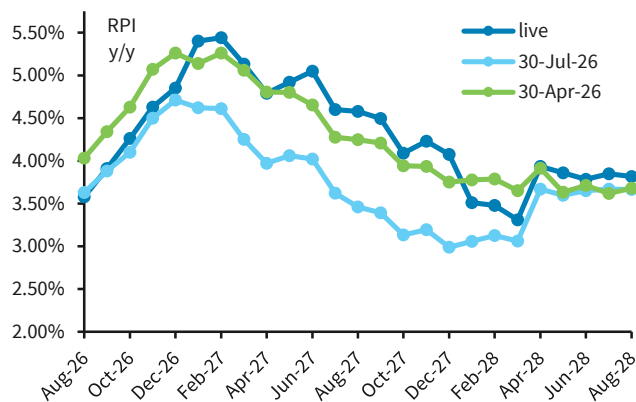
Source: Barclays Research

FIGURE 2. MPC step pricing

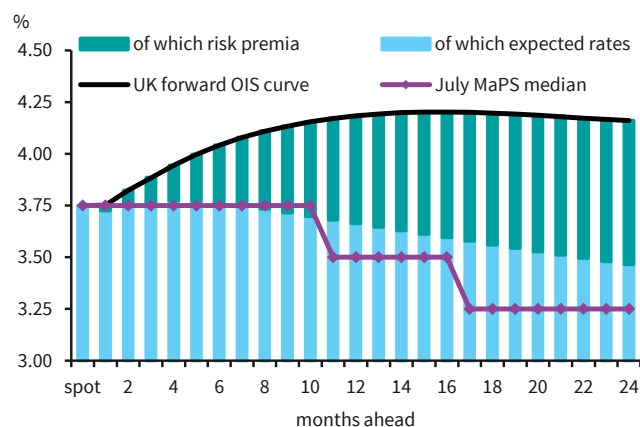


Source: Barclays Research

At the very least, the market is expecting the MPC to dial up its rhetoric and give firmer guidance on the need for rate tightening if there is judged to be increasing risk of the emergence of second-round effects. Figure 3 shows the implied path of 1y RPI compared with where it was at the time of the July and April MPRs. The peak in RPI inflation is now pushed out to Q1 27 and RPI remains above 4% for much of 2027, with CPI staying elevated, potentially above 3% for much of the next 12-18 months. Governor Bailey has made much of the MPC's assessment that the upward-sloping money market curve is consistent with the risk of more tightening and a relatively stable policy rate; the Bank's July MPR assessment is captured in Figure 4. On that basis, a more hawkish tilt by the MPC might lead the committee to expect a redistribution between the expected rate path and risk premium, which could go some way toward stabilising the outright level of the front end and the realised rate path. The flip side would be if the MPC's rhetorical shift is not seen as strong enough by the market. In this framework, the MPC must expect the risk premium to increase, as the market would move toward seeing increasing risk of the need for higher rates. Perversely, this would place greater pressure on the MPC to deliver rate tightening that it was otherwise minded not to do, as the only way to control the risk premium. This would then become a credibility issue for the MPC in that within its own analytical framework, the risk premium component rather than the pricing of the path of the policy rate would then begin to dominate the underlying moves in the money market curve.

FIGURE 3. Near term inflation profile is worsening

Source: Barclays Research

FIGURE 4. July MPR: BOE assessment of risk premium

Source: Bank of England

QT: Fulfilling expectations for £50bn

There is less to say on the September QT decision. A £50bn reduction is widely expected. This would imply £19bn of active sales over the next 12 months, skewed towards the shorter (<20y) maturities. As we had previously noted, there are plausible market-based reasons that a pause in active selling might be considered. But given the volatile market backdrop, the MPC might well feel this is not the time to surprise the market unnecessarily.

Japan: Rates Strategy

Waiting for the next week's BoJ meeting

Long and shorter maturities were ranged this week with expectations for a BoJ hike already largely priced, while superlong yields rose modestly on GPIF and other flow-related headlines. Post-BoJ presser in focus as a gap emerges between economists' views on the terminal rate and market pricing.

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This week: Market seesaws with BoJ rate hike already priced

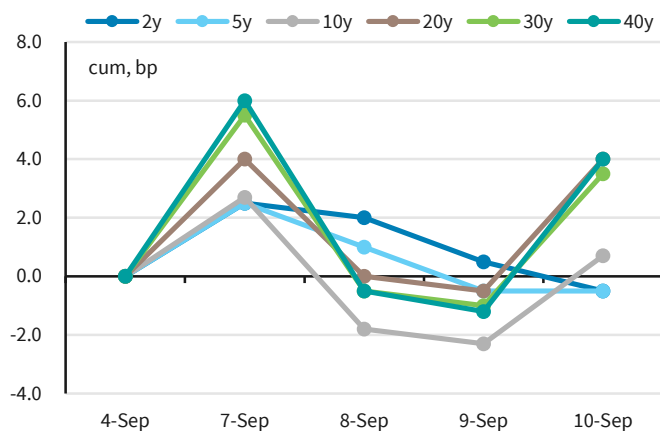
[Shinichiro Kadota](#) BSJL, Japan | [Ayao Ehara](#) BSJL, Japan

With expectations for a BoJ rate hike largely priced, the JGB curve bear-steepened modestly this week, led by the superlong sector, driven mainly by supply-demand flows related to headlines on asset-allocation changes by the GPIF and Norway's sovereign wealth fund. The week began with flow-driven bear-steepening despite a lack of major news, but as USDJPY shifted to a JPY appreciation trend with a drop below 155, the curve shifted to bull-flattening the following day. Thereafter, trading remained largely range-bound in the absence of any major catalysts ([Figure 1](#)).

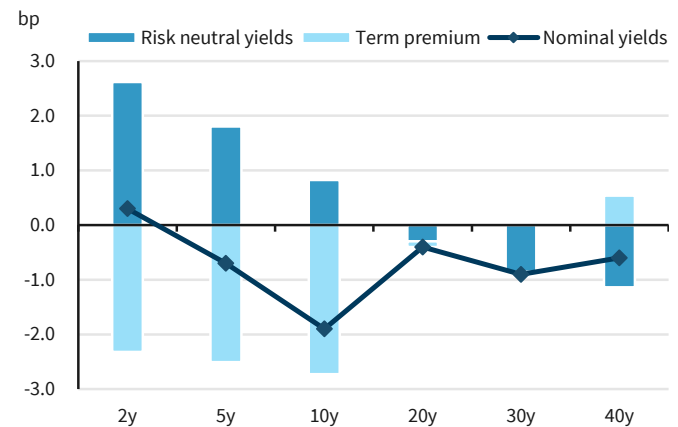
The government's initial FY27 budget requests totaled a record JPY143tn. An uncapped investment framework accounted for JPY12.1tn, while the eventual size of "item requests" remains uncertain. These requests are submitted without specified amounts and include defense spending and infrastructure investment related to national resilience. Because the government plans to revise its three national security strategy documents at year-end, these requests are expected to increase further (Nikkei, 4 September).

According to a Nikkei QUICK survey conducted between 31 August and 4 September, the most common expectation for the next rate hike after the September meeting was January 2027 (18 of 30 respondents). For the terminal policy rate, 1.75% was the most popular projection (20 of 30 respondents). Ten respondents expected the next hike in December 2026. In addition to 1.75%, respondents projected terminal rates of 2.00% (4 respondents) and 2.50% (2 respondents; Nikkei, 10 September.) Separately, reports indicate that the BoJ intends to raise the policy rate to around 1.25% at the September meeting (Kyodo, 8 September).

Decomposing yield moves since last Friday into the risk-neutral yield component (average expected future policy rate) and the term premium shows that the former rose modestly in maturities up to the long end, while term premia declined. In the superlong sector, both components were largely unchanged ([Figure 2](#)).

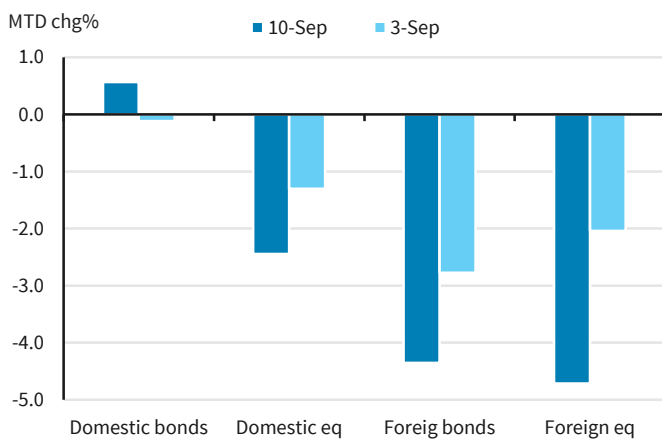
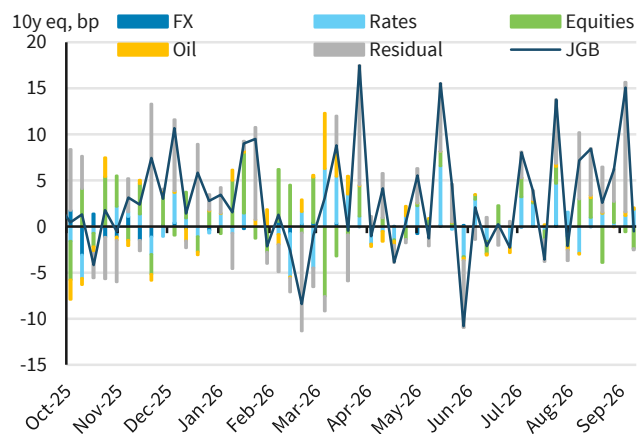
FIGURE 1. This week's JGB market

Source: Barclays Research

FIGURE 2. Decomposition of yield changes (term premium and risk-neutral yields)Source: Barclays Research (see [Term premia dominance in superlongs](#))

Pension fund rebalancing is also in focus. [Figure 3](#) shows asset-price changes since the beginning of the month. Against the backdrop of JPY appreciation, all asset classes except Japanese bonds have declined in price. Since JGBs have posted modest gains, relative rebalancing pressures imply potential selling of Japanese bonds.

When assessing short-term drivers of JGB yield movements, relationships with other asset prices are also important. [Figure 4](#) decomposes changes in JGB yields over the past week into contributions from FX, overseas yields, and other asset prices. From last week through Wednesday, overall yield movements were limited. Rising overseas yields and oil prices exerted a modest upward impact on JGB yields, while equities contributed modest downward pressure.

FIGURE 3. Asset price changes**FIGURE 4. Decomposition of JGB yield changes over the week since last Wednesday into contributions from other asset price moves**

Note: 10y equivalents based on DV01 for each maturity.

Source: MoF, Bloomberg, Barclays Research (see [Decomposition of JGB drivers using the yen-rates FFV model](#))

Week ahead

The week ahead brings a 20y JGB auction on 15 September, followed by a BoJ monetary policy meeting on the 18th. With a 25bp rate hike already reported (Kyodo, 8 September) and now widely priced by the market, the focus will be on Governor Ueda's communication at the follow-up press conference regarding future rate hikes. In a Nikkei QUICK survey conducted from 31

August to 4 September, the most common forecast for the next rate hike following a September move was January 2027, while the terminal rate was projected to reach 1.75% (Nikkei, 10 September). Meanwhile, with the 2y1m forward OIS at around 2.3%, even after allowing for the term-premium component embedded in the forward OIS, market pricing for BoJ rate hikes may be somewhat excessive relative to economists' forecasts. Depending on the BoJ's communication, one possible scenario after the press conference is therefore a reduction in rate-hike pricing, leading to lower yields in the short- to medium-term sectors, alongside higher yields in the long and superlong sectors due to increased inflation uncertainty as rate-hike expectations recede.

Investor demand will remain the key focus at the 20y JGB auction on 15 September. In particular, amid a mix of headlines surrounding supply-demand conditions in the superlong sector – including reports that Norway's sovereign wealth fund plans to increase its allocation to JGBs (Jiji, September 5) and Health, Labour and Welfare Minister Ueno's comment that, regarding a review of GPIF's asset allocation, "we determined as of end-March that a review was not necessary, but understand that appropriate assessments continue to be conducted as needed" (Bloomberg, September 8) – the auction will serve as a test of investor demand.

Trade recommendations

We recommend: 1) paying 1y1y EURJPY xccy basis ⁵ as a carry trade; 2) a 2y2y 1x2 payer spread ⁶ to position for gradual BoJ rate hikes; and 3) selling 10y JGB ASW ⁷ given the recent sharp richening.

August: Japanese pension funds buy foreign assets

[Shinichiro Kadota](#), BSJL, Japan | [Lhamsuren Sharavdemberel](#), BSJL, Japan | [Ayao Ehara](#), BSJL, Japan

This section is an extract from [Japan Flow Update: August: Japanese pension funds buy foreign assets](#), 8 September 2026. Please refer to the original report for a detailed analysis.

August saw Japanese investors sell foreign bonds and buy foreign equities while pension funds bought both. July brought continued selling of US bonds and buying of European bonds in DM, along with a large net sale of Mexican bonds in EM.

⁵ [Fiscal risk back in focus\(open in new tab\)](#), 18 June.

⁶ [Interest Rate Derivatives: Payer spread for carry amid stabilizing risk premia\(open in new tab\)](#), 3 March 2026.

⁷ [Japan FX and Rates Strategy\(open in new tab\)](#) section of Market Strategy Japan, 17 July 2026.

Global Rates Markets

Summary of views

A summary of our views on duration, the curve, swap spreads, inflation and volatility across the US, Europe, and Japan.

United States

Duration

- 10y yields are within striking distance of 5% as the markets have reassessed the expected path higher while term premium is appropriately hovering near pre-GFC levels. We remain of the view that bonds are not cheap yet.
- We are neutral on duration.

Curve/curvature

- We are neutral on the curve.
- We maintain our recommendation to pay the belly of the 5s10s30s SOFR fly (1:2:1), as Treasury's long-end purchases should re-allocate term premium into the 10y sector, which looks too rich in light of the level of term premium.

Swap spreads

- We maintain our 7y spread wideners recommendation. Belly spreads offer the best combination of carry and potential for further spread widening, in our view, and stand to benefit from bank regulatory changes.
- We continue to recommend being long the 10s20s30s ASW fly. Increased long-end buybacks should support the 20y sector on the curve.

Inflation

- Ahead of the August CPI release, we remain neutral on outright inflation after taking profit on our prior 5y5y CPI swap recommendation.
- Focus in the next week will be on the interaction between the CPI release, September FOMC meeting, 10y TIPS supply, and geopolitical developments.
- We maintain our 5y iota widener recommendation, given an asymmetric risk profile.

Volatility

- We maintain a 2y30y ratio payer spread recommendation to position for some drifting, but not a sharp sell-off at the long end.
- We maintain a 3mf 5s30s curve cap spread recommendation to position for larger curve moves driven by Fed reaction function uncertainty.

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- We maintain a 6m1y receiver spread recommendation to position for the possibility that markets may price some cuts for 2027 if inflation softens.

Money markets

- We see building potential for pockets of funding pressure, driven by heavy T-bill supply, a higher TGA balance at times, and the seasonal reduction in GSIB balance sheets in Q4. We maintain our recommendation to be short October SOFR/FF.
- We think these dynamics will be sufficient to prompt a return of RMPs, with purchases moving back up to \$10bn in October and \$20bn in November. We expect purchases to remain at that pace for several months thereafter.

Europe

Duration

- EUR: The surge in energy prices continues to inflict pain on EUR rates. Given the ECB's meeting-by-meeting approach, pinning the upper bound for policy rates is challenging. In that context, we remain neutral on outright duration. We took profit on our paid Dec-ECB versus MPC trade. We recommend ERZ7Z8 flattener.
- UK: September's MPC meeting takes place during increasingly volatile markets. The MPC is under pressure to deliver a more hawkish message to help stabilise front-end risk premium as the market now prices in excess of 100bp of tightening over the next 12 months.

Curve/curvature

- EUR: The EUR steepener has its merits, but for now it is unable to escape the tyranny of the front end. If over the next six months we remain in a guessing game about how much the ECB needs to hike policy rates (ie, war and its inflation effect drag on), it will be challenging to hold a EUR steepener in linear space. All else equal, against this backdrop, any hedge adjustments from Dutch PFs are unlikely to generate a steepening impulse for the curve if the EUR front end remains unanchored.
- UK: The MPC is relying on tightening to remain priced rather than having to deliver it. We retain our recommendation to [sell 10y Gilt vs. wings in Gilt 5/10/30s](#).

EGB/swap spreads

- EGBs: OATs will be a focal point for EGB investors in the autumn in the context of challenging budget negotiations and presidential elections scheduled for next April. Given the widening that has already materialised in the summer, we think OATs already price in a reasonable amount of risk premium and a widening asymmetry is not evident. OAT-Bund could push towards 95-100bp in a pessimistic scenario (ie, unfavourable developments with the budget, the Middle East conflict and presidential election polling), but a retracement to 60-65bp remains possible in a more benign political/macro scenario. Besides OATs, we also view risk/reward in BTPs as relatively balanced (with risks to BTPs more external than idiosyncratic). In terms of EGB recommendations, we are long 30y Netherlands vs. Germany given relative fiscal/issuance dynamics.
- UK: Gilt ASW remains vulnerable to any negative effect on public finances from the energy shock. Positioning remains long, given favourable C+R in the 10y sector and very limited long-end supply in Q4 26.

Volatility

- EUR: We maintain our recommendation for a EUR 1y1y 1x1x1 payer ladder to fade excess hike probabilities that are now being priced by the market.

Japan

Duration

- The yen rates market is likely to continue facing upward pressure from inflation risk premium, due to concerns about fiscal discipline and behind-the-curve risk for the BoJ. Long-term yields at 3% are broadly consistent with nominal growth expectations, but we see two-way risks to our JGB yield forecasts, with any easing of Middle East worries on the downside and escalation of fiscal concerns on the upside.
- 10y BEI is likely to remain high, driven by elevated inflation, wage increases and the inflation risk premium. The risks to our outlook are an upside surprise to scheduled wage increases, prolonged JPY weakness and increased concerns about fiscal discipline.

Curve/curvature

- We expect the belly of the curve to underperform due to inflation risk premium, while the superlong sector, which has already priced in significant term premium, should be better supported. Front-end yields should continue to rise in tandem with the expected BoJ hikes.
- We expect rates in the JPY money market to rise further with additional BoJ hikes over the coming years. In the term market, repo rates have risen while bills remain rich.

Volatility

- We maintain a 2y2y 1x2 payer spread to position for rates moving higher, but with greater certainty about the terminal rate.

Forecasts

Global bond yield forecasts

Our latest bond yield forecasts for the US, the euro area, the UK and Japan.

FIGURE 1. Global bond yield forecasts

US Treasuries						US swap spreads (vs SOFR)				
%	2y	5y	10y	30y	10y BE	bp	2y	5y	10y	30y
Q326	4.15	4.35	4.70	5.25	2.30	Q326	-15	-25	-40	-70
Q426	4.15	4.35	4.75	5.30	2.30	Q426	-15	-20	-35	-70
Q127	4.15	4.35	4.75	5.30	2.30	Q127	-15	-20	-35	-70
Q227	4.15	4.35	4.75	5.30	2.30	Q227	-15	-20	-35	-70

Euro government (Germany) bond yield						Euro area swap spreads (vs ESTR)				
%	2y	5y	10y	30y	10y BE	bp	2y	5y	10y	30y
Q326	2.55	2.60	2.90	3.45	2.30	Q326	-10	-15	-20	-50
Q426	2.55	2.60	2.90	3.45	2.30	Q426	-10	-15	-20	-40
Q127	2.55	2.60	2.90	3.45	2.30	Q127	-15	-20	-25	-40
Q227	2.55	2.60	2.90	3.45	2.30	Q227	-15	-20	-25	-40

UK government						UK swap spreads (OIS ASW)				
%	2y	5y	10y	30y	10y BE	bp	2y	5y	10y	30y
Q326	4.20	4.35	4.80	5.50	3.60	Q326	-15	-25	-55	-70
Q426	4.25	4.45	4.90	5.60	3.60	Q426	-15	-25	-55	-70
Q127	4.30	4.50	5.00	5.65	3.60	Q127	-15	-25	-55	-70
Q227	4.35	4.55	5.10	5.65	3.60	Q227	-15	-25	-55	-70

Japan government						Japan swap spreads (TONA OIS)				
%	2y	5y	10y	30y	10y BE	bp	2y	5y	10y	30y
Q326	1.75	2.20	2.95	4.05	2.20	Q326	-5	-10	-20	-60
Q426	1.85	2.30	3.05	4.05	2.20	Q426	-5	-10	-20	-60
Q127	1.95	2.40	3.15	4.10	2.20	Q127	-5	-10	-20	-60
Q227	2.00	2.50	3.25	4.10	2.20	Q227	-5	-10	-20	-60

Source: Barclays Research

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